



PIVOTBOSS

PRESENTS

SWING TRADE PRO 2.0

THE 5-STEP SWING TRADING BLUEPRINT

STEP 3: STRATEGY TOOLKIT



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STRATEGY TOOLKIT

BENEFITS OF TRADING OPTIONS

In Step 3: Strategy Toolkit, you will learn about the options strategies that we will use in our strategy toolkit. You will also learn how to choose the right strategy for the opportunity presenting itself. But first, let's discuss the benefits of trading options.

Benefits of Trading Options:

- **Less Capital Required:** You can trade options using a fraction of the capital required to trade stocks or ETFs, which gives you additional capital to deploy.
- **Less Risk:** The risk is built into the options strategy that you choose, which allows you to define your maximum allowable risk, even if the market were to suffer a catastrophic event, like a flash crash.
- **Higher Potential Return:** While less capital is required to trade options, they can return nearly 85% of the potential reward versus owning the stock, which means the potential return on investment is oftentimes much higher than trading options.
- **More Strategies:** Options provide a plethora of ways to strategically engage the market, which is a stark contrast to the long-only or short-only approach to stocks.



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STRATEGY TOOLKIT: **CHOOSE A TRADING STRATEGY**

The Strategy Toolkit is designed to allow you to choose trading strategies that are categorized by their relative risk profiles, thus allowing you to pick the type of risk that you're willing to take relative to the probability of profit for the opportunity that you're considering trading.

For example, Credit Spreads are at the low end of the risk spectrum, while Neutral Strategies are at the center and Trade the Underlying is at the high end of the risk spectrum.

Look to choose a relatively low-risk strategy, like a Credit or Debit Spread, for an opportunity with good odds of profitability. Choose a more aggressive strategy, like ITM Long Calls or Puts when the opportunity has high odds of success. Your ability to determine which trading strategy is right for the setup that you are trading will go a long way toward building consistency.

3.1 CREDIT SPREADS

- Put Credit Spread (BULLISH)
- Call Credit Spread (BEARISH)

3.2 DEBIT SPREADS

- Call Debit Spread (BULLISH)
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- Long Straddle (BREAKOUT)
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3.4 ITM OPTIONS

- ITM Long Call (BULLISH)
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3.5 OTM OPTIONS

- OTM Long Call (BULLISH)
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3.6 TRADE THE UNDERLYING

- Covered Call (INCOME)
- Protective Put (HEDGE)
- Collar (HEDGE)



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CREDIT SPREADS

Credit Spreads offer a low-risk approach to executing a bias in the market by betting where the market won't go. Credit Spreads are an option strategy that pay out a net credit, as you are selling a higher priced option and buying a lower priced option for protection. This approach allows you to collect premium on the option sold, while limiting your risk with the cheaper bought option.

Credit Spread: Involves selling a higher priced option to collect premium, while buying a lower priced option in the same underlying with the same expiration for risk protection, resulting in a net credit for the trade.

3.1 CREDIT SPREADS

- Put Credit Spread (BULLISH)
- Call Credit Spread (BEARISH)

Benefits of Credit Spreads:

- **Defined Risk:** This strategy allows you to cap your risk for a trade. No matter how the trade turns out, you cannot lose more than your pre-defined risk.
- **Max Profit is Easily Achieved:** As long as price remains beyond the option sold, you will achieve max profit for a trade. In essence, price can go strongly in your favor, mildly in your favor, or remain flat, and you can still collect max profit with this strategy.
- **Time Decay Works in Your Favor:** When selling options, time decay is extremely helpful.



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CREDIT SPREADS: PUT CREDIT SPREAD (BULLISH)

OBJECTIVE: The objective of a Put Credit Spread is to execute a bullish income strategy for a net credit while also reducing your maximum risk. The sold puts produce the income element, while the bought puts limit your downside risk.

Direction: Bullish/Neutral

Asset Legs: Short Put (higher strike), Long Put (lower strike)

When to Use: If you think the market will go up or sideways

Profit Characteristics: Retain the net credit if both options expire worthless — **This is the ideal scenario for this trade.**

Loss Characteristics: Difference in strikes less the net credit you received

Decay Characteristics: Time decay is helpful when the position is winning, and harmful when the position is losing

Max Risk: Capped

Max Reward: Capped

Strategy:

- Use this strategy when you believe price will move higher or stay flat.
- You're selling premium, so you want time decay to work in your favor, therefore trade options with 15 days or less to expiration.
- You want both options to expire worthless. If this happens, you won't have to pay commission to close the position.
- If the trade hits near max profit early in the trade, go ahead and take the windfall profits
- If the stock rises, both puts expire worthless, and you simply retain the entire net credit.
- If the stock falls, then your breakeven is the higher strike minus the net credit you received.



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CREDIT SPREADS: PUT CREDIT SPREAD (BULLISH)

EXECUTION: Sell the Put Credit Spread when the underlying reaches your entry trigger.

PUT CREDIT SPREAD EXAMPLE:

XYZ is trading at 100 in Jan and you believe that price will close above 100 at expiration:

Sell the Feb 100 put for 2.00

Buy the Feb 95 put for .50

Risk Profile:

- **Net Credit Transaction:** Premium sold - premium bought ($2.00 - .50 = 1.50$)
- **Maximum Risk:** Difference in strikes minus net credit ($(100 - 95) - 1.50 = 3.50$)
- **Maximum Reward:** Net credit received (1.50)
- **Breakeven:** Higher strike minus net credit ($100 - 1.50 = 98.50$)
- Collect 1.50 in Premium, which stays in your account if price closes above 100 at expiration
- If price remains above 100, allow the options to expire worthless to keep the entire credit and to avoid paying commissions
- If price goes against the trade, the breakeven point is the higher strike minus the net credit received
- Look to cover this trade ahead of expiration to avoid assignment if position is losing

qPEMA: 165.41 rPEMA: 167.23 mPEMA: 167.7628 Range: 11.92 AvgRange: 16.3298 ADR75: 168.79 ADR100: 172.87 ADR75: 156.21 ADR100: 152.13

CREDIT SPREADS: PUT CREDIT SPREAD (BULLISH)

The objective of a Put Credit Spread is to execute a bullish income strategy for a net credit while also reducing your maximum risk. The sold puts produce the income element, while the bought puts limit downside risk.

EXECUTION: Short Put (higher strike) and Long Put (lower strike) with the same expiration. Sell the Put Credit Spread when the underlying reaches your entry trigger.

EXAMPLE:

Sell 16 Mar (11): 160 Put for 2.41
Buy 16 Mar (11): 155 Put for 0.35
Net Credit: $2.41 - 0.35 = 2.06$
Max Risk: $5.00 - 2.06 = 2.94$
Max Reward: $2.41 - 0.35 = 2.06$
Breakeven: $160 - 2.06 = 157.94$

Price needs to close above 160 at expiration for max profit

Breakeven 157.94

Sell 160 Put

Buy 155 Put

TIPS:

- Sell when implied volatility is high
- Sell with 15 days or less to expiration
- Time decay works in your favor, even if price doesn't move
- If price closes above the sold put at expiration, allow the position to expire worthless to collect max credit and to avoid paying commission on the exit



qPEMA: 182.54 fEMA: 176.16 mPEMA: 173.6700 Range: 36.21 AvgRange: 18.7588 ADR75: 170.61 ADR100: 175.30 ADR75: 178.68 ADR100: 173.99

CREDIT SPREADS: PUT CREDIT SPREAD (BULLISH)

Put Credit Spreads are very trader friendly, as price can move up, sideways, or even modestly against the sold put and still finish with a max profit or breakeven trade. Look to execute this trade with 15 days or less to expiration, preferably after a significant rejection.

TIPS:

- Allow the options to expire worthless to collect max credit and to avoid paying commission on the exit
- Should a windfall move occur early in the trade, consider buying back the spread ahead of expiration for .05

EXAMPLE:

16 Mar (0) 160 Put expires for 0.00
 16 Mar (0) 155 Put expires for 0.00

Max Profit = Net Credit: 2.06





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CREDIT SPREADS: CALL CREDIT SPREAD (BEARISH)

OBJECTIVE: The objective of a Call Credit Spread is to execute a bearish income strategy for a net credit while also reducing your maximum risk. The sold calls produce the income element, while the bought calls limit your upside risk.

Direction: Bearish/Neutral

Asset Legs: Short Call (lower strike), Long Call (higher strike)

When to Use: If you think the market will go down or sideways

Profit Characteristics: Retain the net credit if both options expire worthless — **This is the ideal scenario for this trade.**

Loss Characteristics: Difference in strikes less the net credit

Decay Characteristics: Time decay is helpful when the position is winning, and harmful when the position is losing

Max Risk: Capped

Max Reward: Capped

Strategy:

- Use this strategy when you believe price will move lower or stay flat.
- You're selling premium, so you want time decay to work in your favor, therefore trade options with 15 days or less to expiration.
- You want both options to expire worthless. If this happens, you won't have to pay commission to close the trade.
- If the trade hits near max profit early in the trade, go ahead and take the windfall profits
- If the stock falls, both calls expire worthless, and you simply retain the entire net credit.
- If the stock rises, then your breakeven is the lower strike plus the net credit you received.



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CREDIT SPREADS:

CALL CREDIT SPREAD (BEARISH)

EXECUTION: Sell the Call Credit Spread when the underlying reaches your entry trigger.

CALL CREDIT SPREAD EXAMPLE:

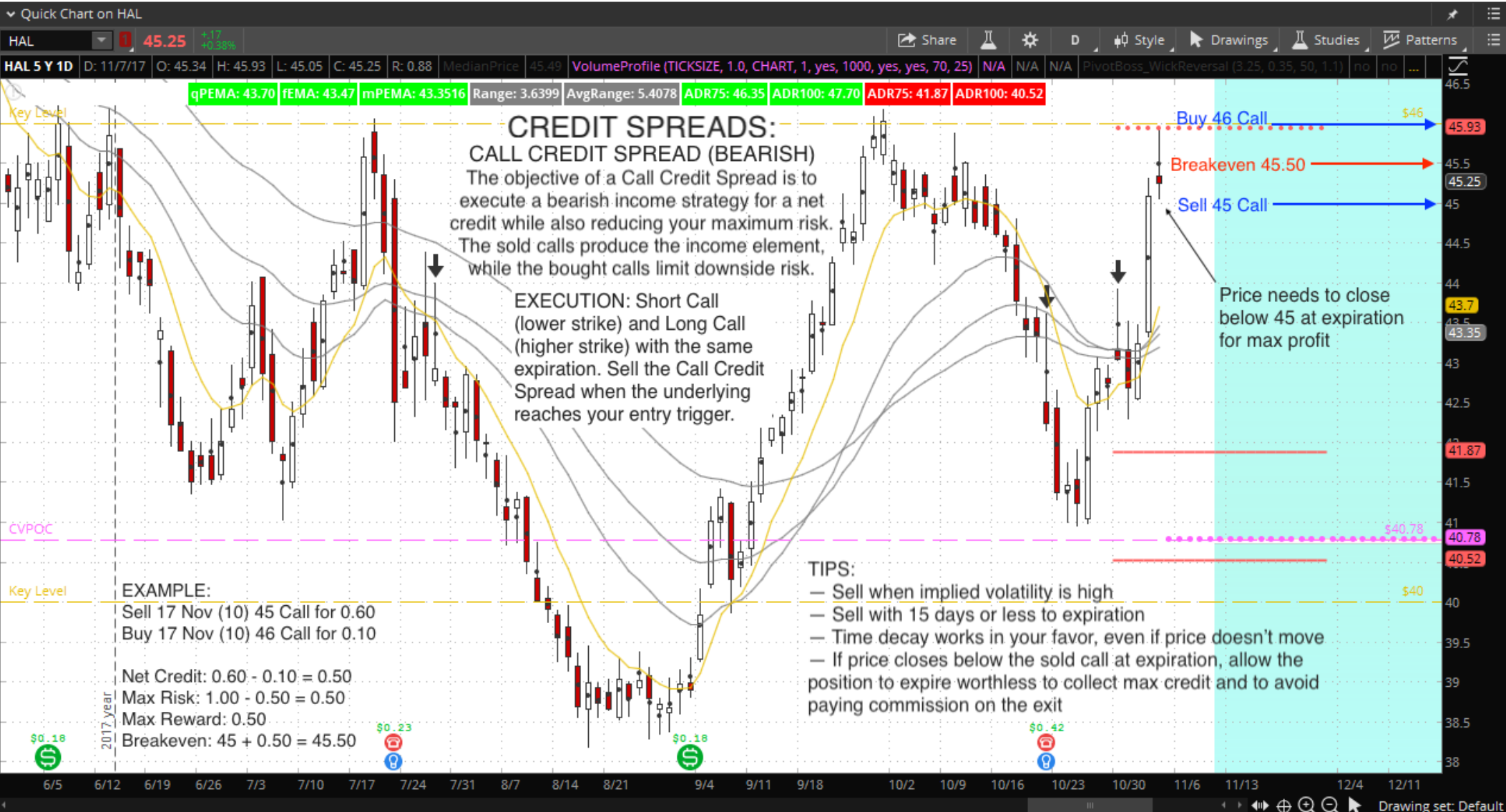
XYZ is trading at 100 in Jan and you believe that price will close below 100 at expiration:

Sell the Feb 100 call for 2.00

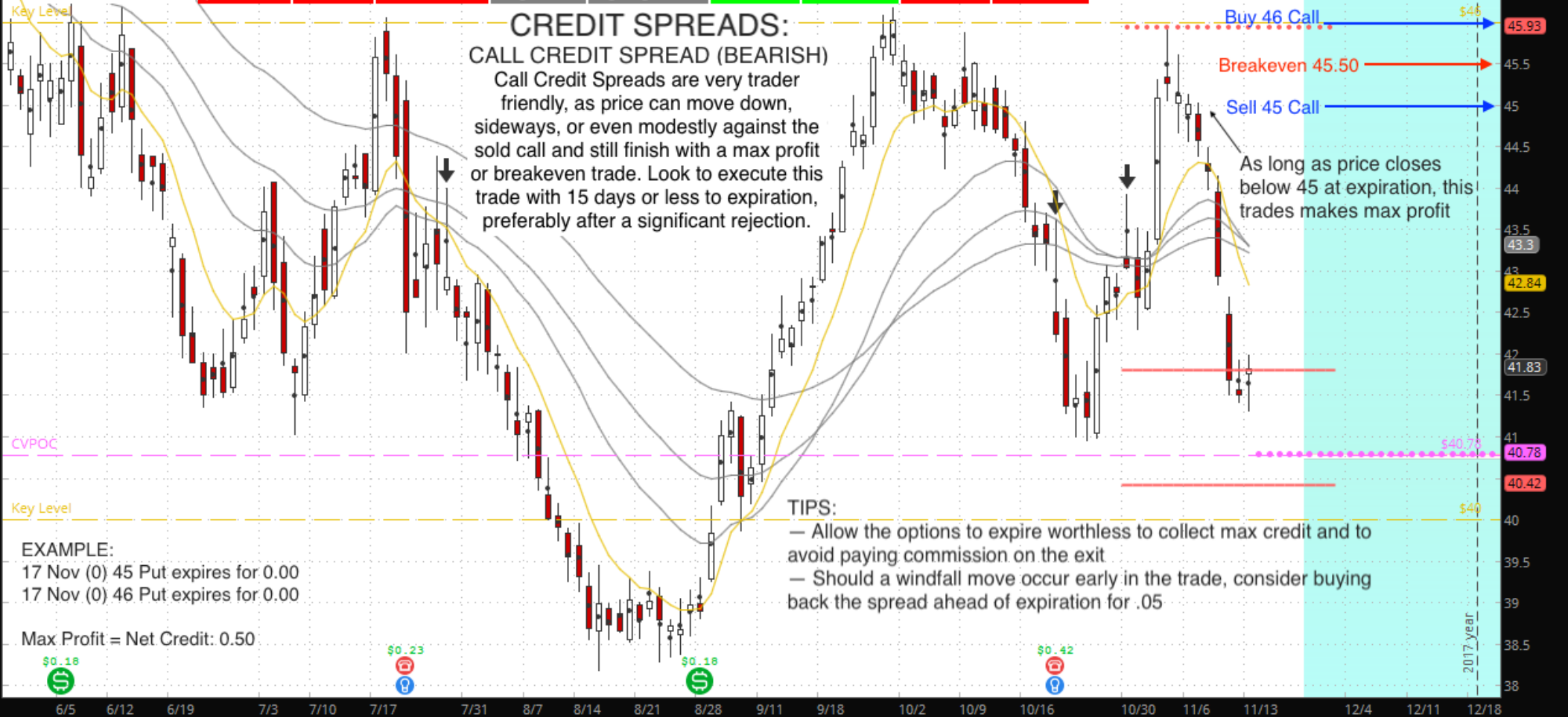
Buy the Feb 105 call for .50

Risk Profile:

- **Net Credit Transaction:** Premium sold - premium bought ($2.00 - .50 = 1.50$)
- **Maximum Risk:** Difference in strikes minus net credit ($(105 - 100) - 1.50 = 3.50$)
- **Maximum Reward:** Net credit received (1.50)
- **Breakeven:** Lower strike plus net credit ($100 + 1.50 = 101.50$)
- Collect 1.50 in Premium, which stays in your account if price closes below 100 at expiration
- If price remains below 100, allow the options to expire worthless to keep the entire credit and to avoid paying commissions
- If price goes against the trade, the breakeven point is the lower strike plus the net credit received
- Look to cover this trade ahead of expiration to avoid assignment if position is losing



qPEMA: 42.84 fEMA: 43.30 mPEMA: 43.3164 Range: 4.6199 AvgRange: 5.5058 ADR75: 45.44 ADR100: 46.82 ADR75: 41.80 ADR100: 40.42





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CHOOSE A TRADING STRATEGY

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- Call Debit Spread (Bullish)
- Put Debit Spread (Bearish)

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DEBIT SPREADS

Debit Spreads offer a risk-defined approach to executing a directional bias in the market. Debit Spreads are an option strategy that results in a net debit, as you are buying a higher priced option and selling a lower priced option in order to offset time decay, limit risk, and reduce the cost basis of the trade.

Debit Spreads: Involves buying a higher priced option, while selling a lower priced option in the same underlying with the same expiration in order to offset the effects of time decay and reduce cost, resulting in a net debit for the trade.

3.2 DEBIT SPREADS

- Call Debit Spread (BULLISH)
- Put Debit Spread (BEARISH)

Benefits of Debit Spreads:

- **Defined Risk:** This strategy allows you to cap your risk for a trade. No matter how the trade turns out, you cannot lose more than the amount you paid for the trade.
- **Time Decay is Offset:** Buy selling the lower priced option, you are essentially offsetting the negative effects of time decay.
- **Lower Cost Basis:** By selling the lower priced option, you are reducing the cost basis of the trade, while also improving your breakeven point.



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3.1 Credit Spreads

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- **Call Debit Spread (Bullish)**
- **Put Debit Spread (Bearish)**

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DEBIT SPREADS: CALL DEBIT SPREAD (BULLISH)

OBJECTIVE: The objective of a Call Debit Spread is to execute a bullish trade by buying calls, while reducing your maximum risk by selling calls at a higher strike. The sold calls cap profit potential, but also reduce your cost basis, risk, and breakeven points.

Direction: Bullish

Asset Legs: Long Call (lower strike), Short Call (higher strike)

When to Use: If you think the market will go up, but with limited upside potential

Profit Characteristics: Max profit is reached if price closes at or above the sold call at expiration — **This is the ideal scenario for this trade.**

Loss Characteristics: Max risk is the net cost of the spread

Decay Characteristics: Time decay is helpful when the position is winning, and harmful when the position is losing

Max Risk: Capped

Max Reward: Capped

Strategy:

- Use this strategy when you believe price will move higher, but has limited upside potential.
- If the stock rises to the higher (sold) call, you make max profit
- If the stock falls below the lower (bought) call, you take a max loss
- If the stock falls somewhere in between, then you must clear the breakeven point, which is the lower strike plus the net debit.



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- **Put Debit Spread (Bearish)**

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DEBIT SPREADS: CALL DEBIT SPREAD (BULLISH)

EXECUTION: Buy the Call Debit Spread when the underlying reaches your entry trigger.

CALL DEBIT SPREAD EXAMPLE:

XYZ is trading at 100 in Jan and you believe that price will rally, but has limited upside to about 105:

Buy the Feb 100 call for 2.00
Sell the Feb 105 call for .50

Risk Profile:

- **Net Debit Transaction:** Premium bought - premium sold ($2.00 - .50 = 1.50$)
- **Maximum Risk:** Debit paid (1.50)
- **Maximum Reward:** Difference in strikes minus debit paid ($(105 - 100) - 1.50 = 3.50$)
- **Breakeven:** Lower strike plus net debit ($100 + 1.50 = 101.50$)
- Max profit occurs if price rises to the higher (sold) strike
- If price closes below the lower (bought) strike at expiration, you take a max loss
- If price closes somewhere between the two strikes, your breakeven is the lower strike plus the net debit paid

qPEMA: 165.41 fEMA: 167.23 mPEMA: 167.7628 Range: 11.92 AvgRange: 16.3298 ADR75: 168.79 ADR100: 172.87 ADR75: 156.21 ADR100: 152.13

DEBIT SPREADS: CALL DEBIT SPREAD (BULLISH)

The objective of a Call Debit Spread is to execute a bullish trade by buying calls, while reducing your maximum risk by selling calls at a higher strike. The sold calls cap profit potential, but also reduce your cost basis, risk, and breakeven points.

EXECUTION: Long Call (lower strike), Short Call (higher strike) with the same expiration. Buy the Call Debit Spread when the underlying reaches your entry trigger.

EXAMPLE:

Buy 16 Mar (11) 160 Call for 3.59
Sell 16 Mar (11) 170 Call for 0.55
Net Debit: $3.59 - 0.55 = 3.04$
Max Risk: $3.59 - 0.55 = 3.04$
Max Reward: $10 - 3.04 = 6.94$
Breakeven: $160 + 3.04 = 163.04$

Max profit occurs if price closes at 170 at expiration

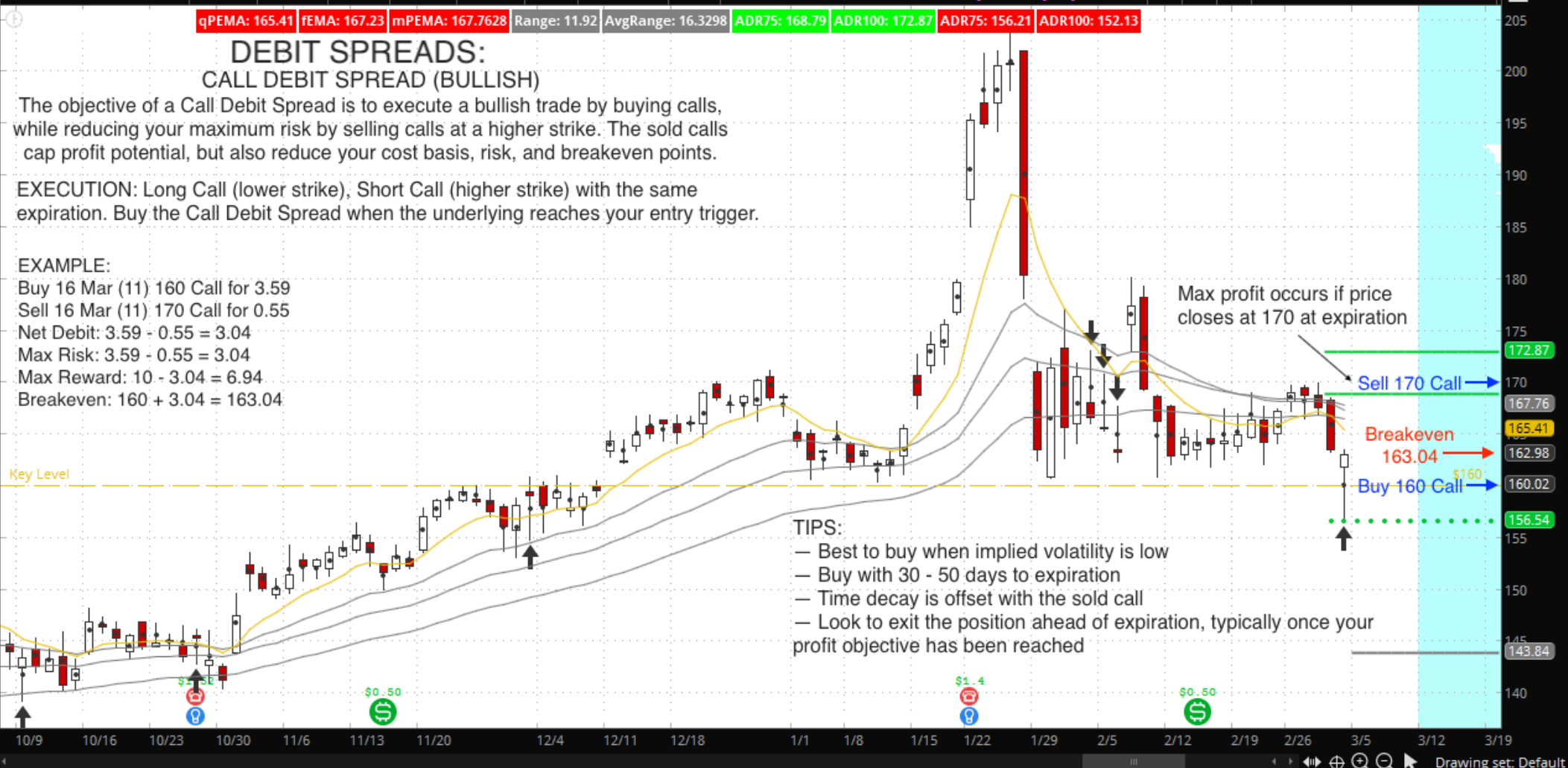
Sell 170 Call

Breakeven 163.04

Buy 160 Call

TIPS:

- Best to buy when implied volatility is low
- Buy with 30 - 50 days to expiration
- Time decay is offset with the sold call
- Look to exit the position ahead of expiration, typically once your profit objective has been reached



qPEMA: 167.36 fEMA: 167.44 mPEMA: 167.7583 Range: 18.06 AvgRange: 16.9438 ADR75: 169.25 ADR100: 173.48 ADR75: 161.89 ADR100: 157.66

DEBIT SPREADS: CALL DEBIT SPREAD (BULLISH)

Call Debit Spreads are trader friendly because risk is clearly defined, costs are lower, and time decay is offset. Ideally, you want to take profits ahead of expiration once your profit objective has been reached.

EXAMPLE:

Cost of Spread on Mar 2 (11 days to expiration): 3.04

Cost of Spread on Mar 8 (7 days to expiration): 8.23

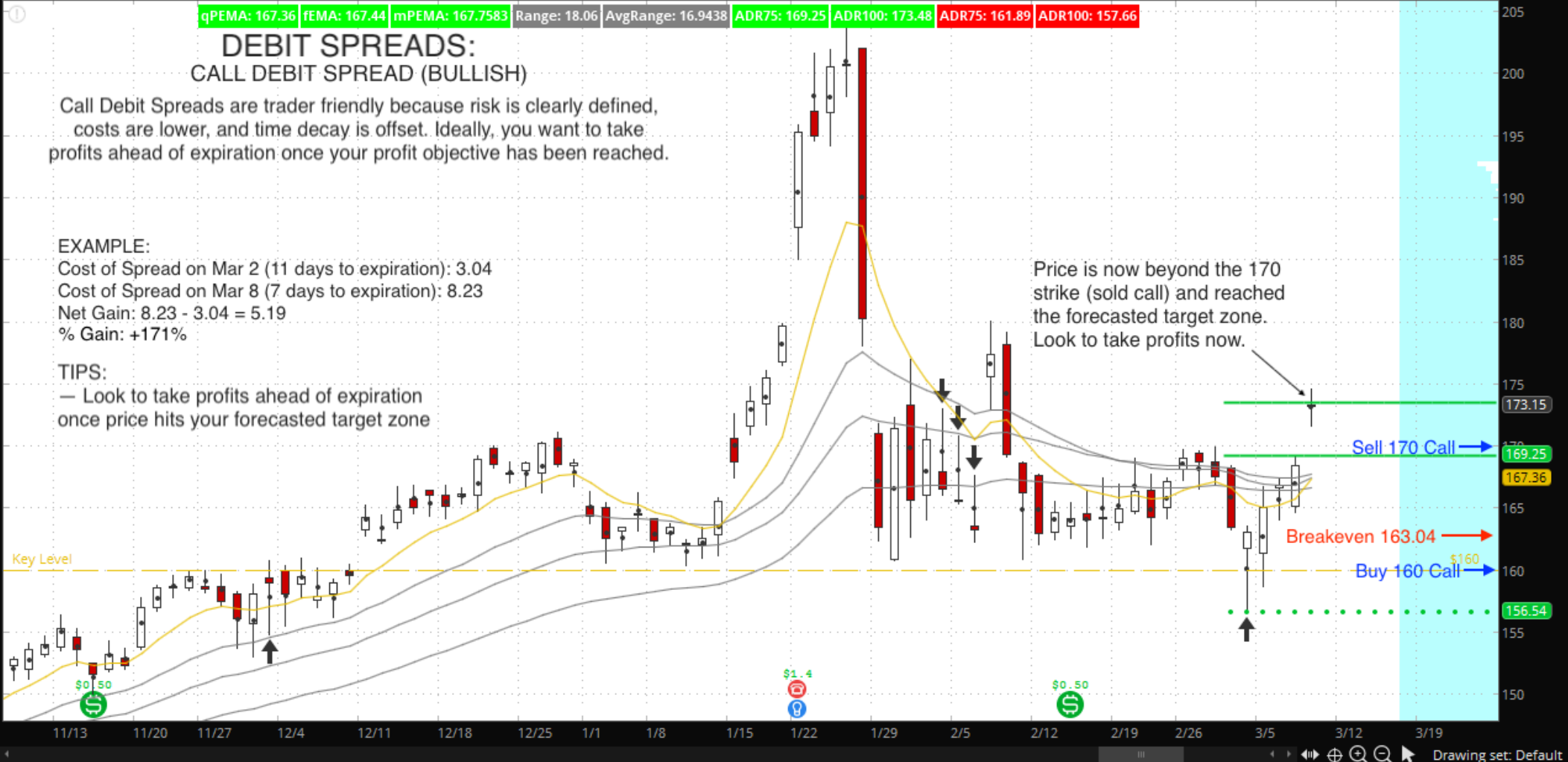
Net Gain: $8.23 - 3.04 = 5.19$

% Gain: +171%

TIPS:

— Look to take profits ahead of expiration once price hits your forecasted target zone

Price is now beyond the 170 strike (sold call) and reached the forecasted target zone. Look to take profits now.





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- Call Debit Spread (Bullish)
- Put Debit Spread (Bearish)

3.3 Neutral Strategies

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DEBIT SPREADS: PUT DEBIT SPREAD (BEARISH)

OBJECTIVE: The objective of a Put Debit Spread is to execute a bearish trade by buying puts, while reducing your maximum risk by selling puts at a lower strike. The sold puts cap profit potential, but also reduce your cost basis, risk, and breakeven points.

Direction: Bearish

Asset Legs: Long Put (higher strike), Short Put (lower strike)

When to Use: If you think the market will go down, but with limited downside potential

Profit Characteristics: Max profit is reached if price closes at or below the sold put at expiration — **This is the ideal scenario for this trade.**

Loss Characteristics: Max risk is the net cost of the spread

Decay Characteristics: Time decay is helpful when the position is winning, and harmful when the position is losing

Max Risk: Capped

Max Reward: Capped

Strategy:

- Use this strategy when you believe price will move lower, but has limited downside potential.
- If the stock falls to the lower (sold) put, you make max profit. If this happens prior to expiration, go ahead and take profits.
- If the sold options loses its value, you can take profits on this leg, and hold the long option as a free trade.
- If the stock rises above the higher (bought) put, you take a max loss
- If the stock falls somewhere in between, then you must clear the breakeven point, which is the higher strike minus the net debit.



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DEBIT SPREADS: PUT DEBIT SPREAD (BEARISH)

EXECUTION: Buy the Put Debit Spread when the underlying reaches your entry trigger.

PUT DEBIT SPREAD EXAMPLE:

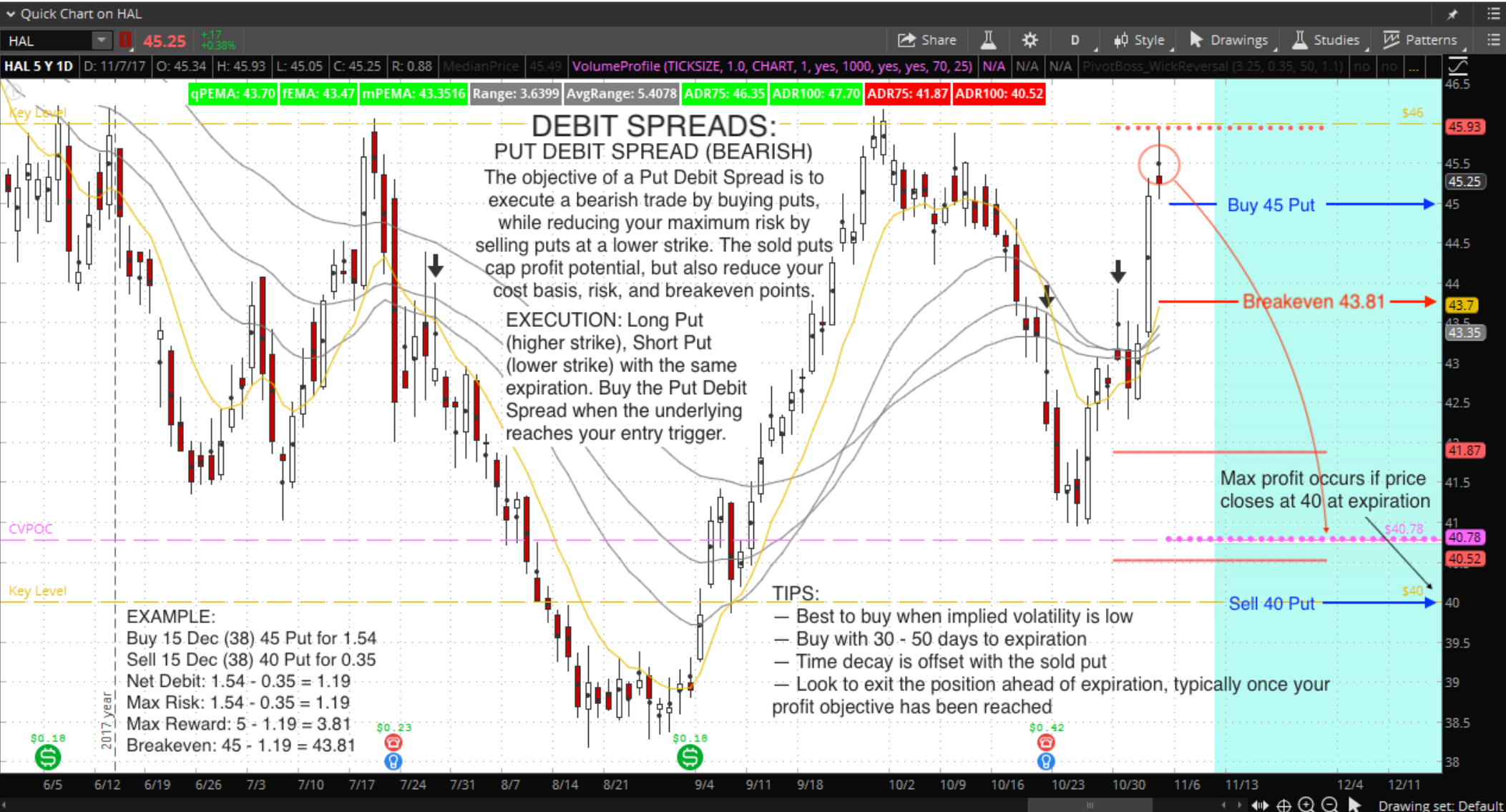
XYZ is trading at 100 in Jan and you believe that price will fall, but has limited downside to about 95:

Buy the Feb 100 put for 2.00

Sell the Feb 95 put for .50

Risk Profile:

- **Net Debit Transaction:** Premium bought - premium sold ($2.00 - .50 = 1.50$)
 - **Maximum Risk:** Debit paid (1.50)
 - **Maximum Reward:** Difference in strikes minus debit paid ($(100 - 95) - 1.50 = 3.50$)
 - **Breakeven:** Higher strike minus net debit ($100 - 1.50 = 98.50$)
-
- Max profit occurs if price falls to the lower (sold) strike. Will take profits if this happens prior to expiration.
 - If price closes above the higher (bought) strike at expiration, you take a max loss. If this happens prior to expiration, there is no harm in holding onto the position, as there is always a chance it could finish with value given there's still time remaining to expiration.
 - If price closes somewhere between the two strikes, your breakeven is the higher strike minus the net debit paid





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- Long Straddle (Breakout)
- Short Iron Butterfly (Range)

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NEUTRAL STRATEGIES

Neutral Options Strategies are those that allow traders to make money in markets that will either remain range-bound, or have the potential to see significant expansion.

While there are many different strategies for trading a neutral market, we will primarily focus on executing Long Straddles for markets that are poised for expansion and selling Iron Butterflies for collecting premium during range-bound markets.

3.3 NEUTRAL STRATEGIES

- Long Straddle (BREAKOUT)
- Iron Butterfly (RANGE)

Benefits of Neutral Strategies:

- **Make Money When You Don't Know Direction:** Long Straddles allow traders to make money even when you don't know which direction the market will break. However, you need enough of a breakout to cover the cost of executing this strategy.
- **Make Money When the Market is Range Bound:** Short Iron Butterflies allow traders to make money when a market has become range-bound. In essence, you are able to take advantage of situations when the market isn't moving by selling premium. Commission costs can add up quickly with this four-leg trade, so use accordingly.



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NEUTRAL STRATEGIES

LONG STRADDLE (BREAKOUT)

OBJECTIVE: The objective of a Long Straddle is to execute a neutral trade for a capital gain while expecting a surge in volatility. Ideally you are looking for a scenario where Implied Volatility is currently very low, giving you cheaper option prices, but the stock is about to make an explosive move — you just don't know which direction.

Direction: Neutral (Breakout)

Asset Legs: Long Call, Long Put (same strike and expiration)

When to Use: When premiums are low and you think the market is ready for an explosive breakout in either direction

Profit Characteristics: Profit is open-ended in both directions

Loss Characteristics: Limited to the cost of the spread; max loss occurs if the market closes at your strike at expiration

Decay Characteristics: Time decay really works against this position

Max Risk: Capped

Max Reward: Uncapped

Strategy:

- Use this strategy when premiums are low and you believe price will see a breakout in either direction
- This is a high cost trade; needs a big enough move to cover costs
- Consider this trade ahead of earnings or news
- Consider stocks with price ranges that are compressed and ready for range expansion
- Buy puts/calls with 45+ days to expiration
- If the stock hasn't moved, sell your position to avoid holding into the last month (to avoid serious time decay)



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NEUTRAL STRATEGIES

LONG STRADDLE (BREAKOUT)

EXECUTION: Buy the Long Straddle when the price of the underlying is at, or very close, to the strike you wish to straddle, and when volatility is low (to pay cheaper premiums).

LONG STRADDLE EXAMPLE:

XYZ is trading at 100 in Jan and you believe that price will experience a significant breakout soon, but direction is unknown:

Buy the Apr 100 call for 2.55

Buy the Apr 100 put for 2.25

Risk Profile:

- **Net Debit Transaction:** Premiums bought ($2.55 + 2.25 = 4.80$)
- **Maximum Risk:** Debit paid (4.80)
- **Maximum Reward:** Unlimited (∞)
- **Breakeven Up:** Strike + net debit ($100 + 4.80 = 104.80$)
- **Breakeven Down:** Strike - net debit ($100 - 4.80 = 95.20$)
- This trade needs a big enough breakout to cover the net debit cost
- Execute this strategy when volatility is low to pay cheaper premiums
- If price doesn't move, look to exit this trade 20-30 days before expiration, as time decay will begin to work doubly against the trade

Quick Chart on VLO

VLO VALERO ENERGY CORP COM 91.42 -1.35 -1.46%

Share Settings D Style Drawings Studies Patterns

VLO 5 Y 1D D: 4/2/18 O: 92.25 H: 92.73 L: 89.75 C: 91.42 R: 2.98 MedianPrice 91.24 VolumeProfile (TICKSIZE, 1.0, CHART, 1, yes, 1000, yes, yes, 70, 25) N/A N/A N/A PivotBoss_WickReversal (3.25, 0.35, 50, 1.1) no no ...

qPEMA: 92.39 fEMA: 92.68 mPEMA: 92.5955 Range: 2.98 AvgRange: 7.6709 ADR75: 95.18 ADR100: 96.99 ADR75: 87.30 ADR100: 85.49

NEUTRAL STRATEGIES

LONG STRADDLES (BREAKOUT)

The objective of a Long Straddle is to execute a neutral trade for a capital gain while expecting a surge in volatility, but you don't know in which direction. Ideally, you are looking for a scenario where Implied Volatility is currently very low, giving you cheaper options prices, but is on the verge of expansion.

EXECUTION: Long Call and Long Put at the same strike and expiration. Buy the Long Straddle when the price of the underlying is at, or very close, to the strike you wish to straddle, and when volatility is low (in order to pay cheaper premiums).

EXAMPLE:

Buy 18 May (46) 92.50 Call for 3.90
Buy 18 May (46) 92.50 Put for 3.75

Net Debit: $3.90 + 3.75 = 7.65$

Max Risk: 7.65

Max Reward: Unlimited in both directions

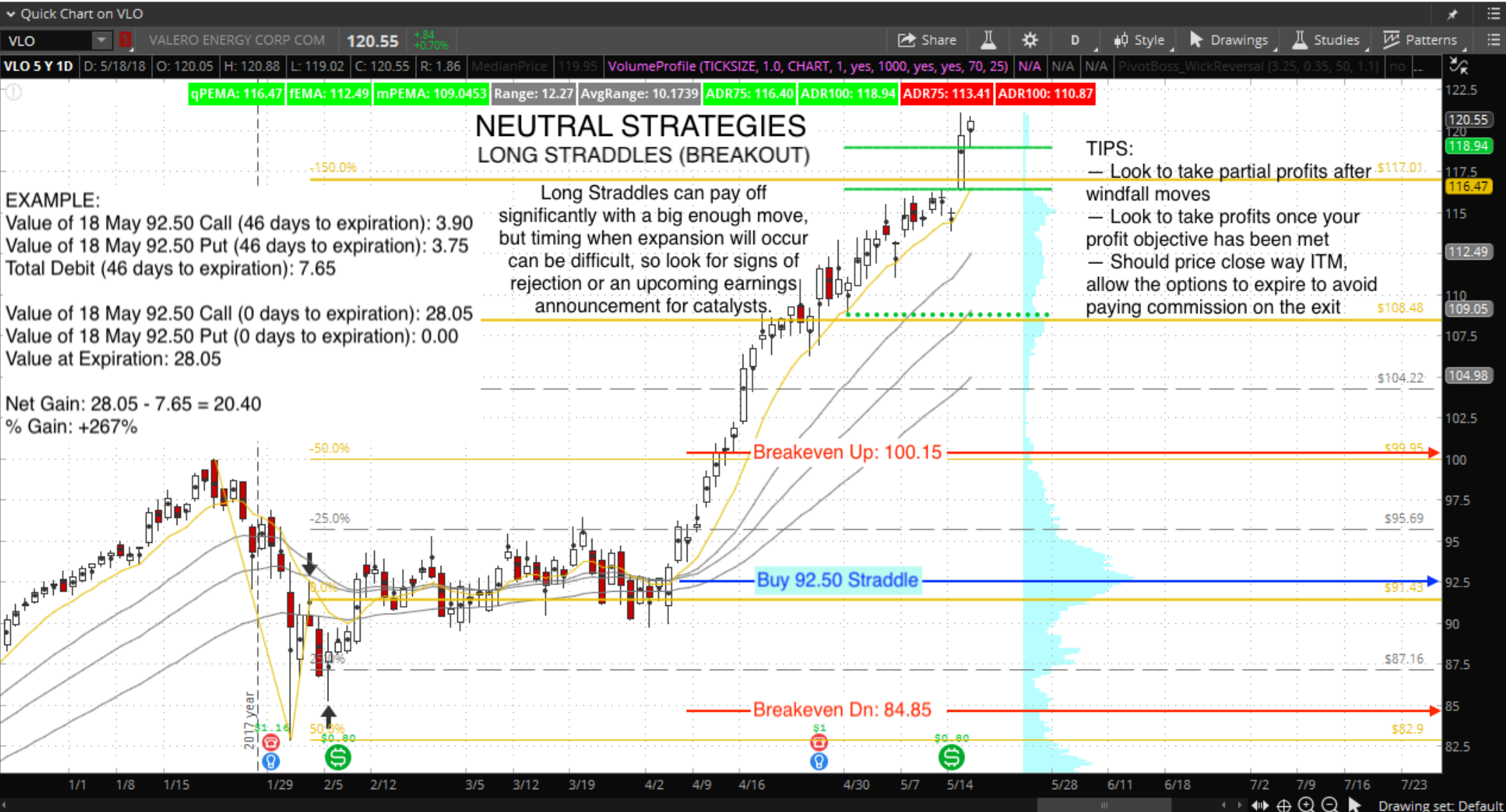
Breakeven Up: $92.50 + 7.65 = 100.15$

Breakeven Dn: $92.50 - 7.65 = 84.85$

TIPS:

- Buy when compression is significant and implied volatility is low
- Buy with 45+ days to expiration
- If price doesn't move, sell your position to avoid time decay
- Breakout must be big enough to cover premium paid for the trade



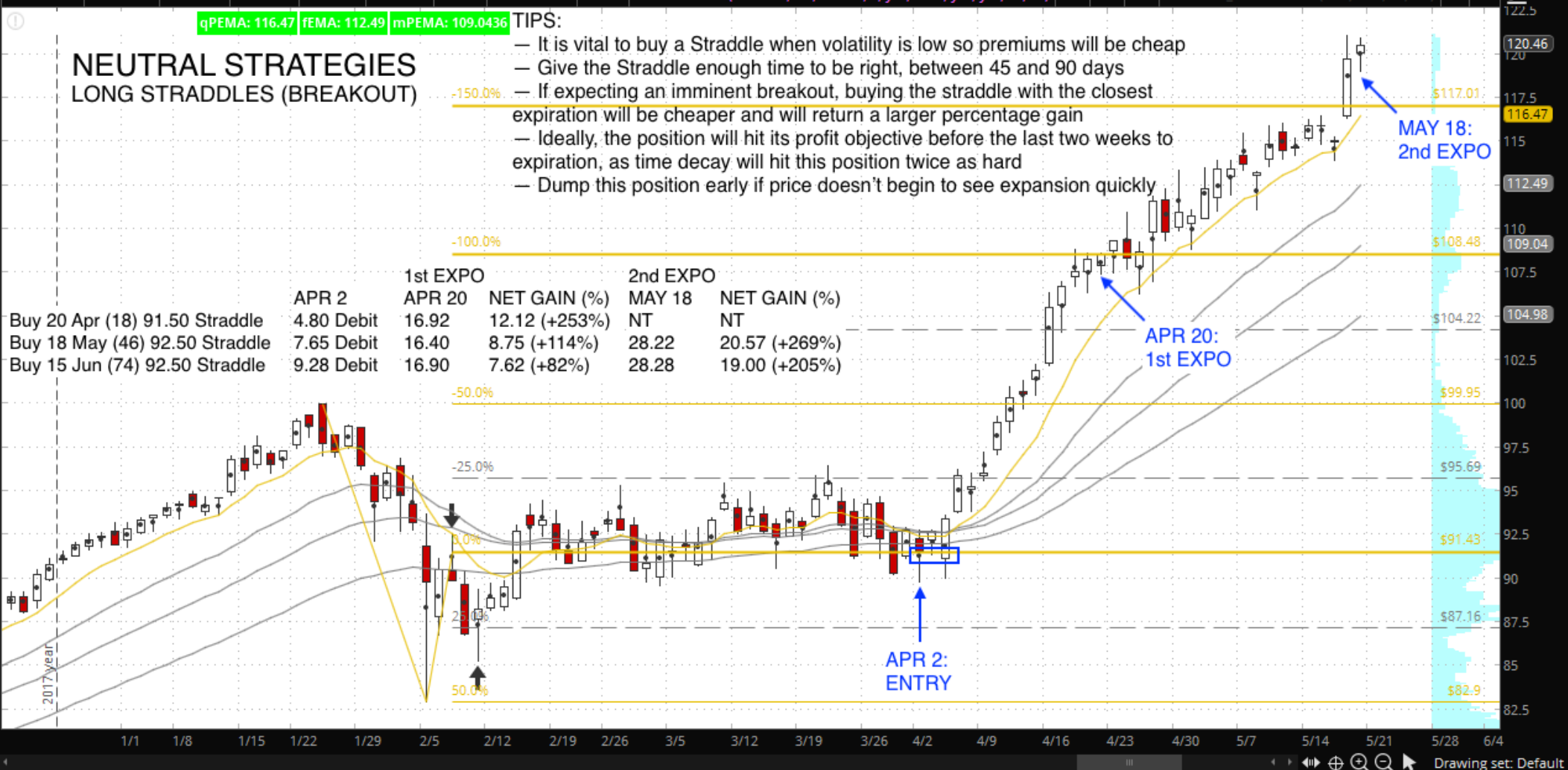


qPEMA: 116.47 fPEMA: 112.49 mPEMA: 109.0436 TIPS:

NEUTRAL STRATEGIES LONG STRADDLES (BREAKOUT)

- It is vital to buy a Straddle when volatility is low so premiums will be cheap
- Give the Straddle enough time to be right, between 45 and 90 days
- If expecting an imminent breakout, buying the straddle with the closest expiration will be cheaper and will return a larger percentage gain
- Ideally, the position will hit its profit objective before the last two weeks to expiration, as time decay will hit this position twice as hard
- Dump this position early if price doesn't begin to see expansion quickly

		1st EXPO		2nd EXPO	
Buy 20 Apr (18) 91.50 Straddle	APR 2	APR 20	NET GAIN (%)	MAY 18	NET GAIN (%)
Buy 18 May (46) 92.50 Straddle	4.80 Debit	16.92	12.12 (+253%)	NT	NT
Buy 15 Jun (74) 92.50 Straddle	7.65 Debit	16.40	8.75 (+114%)	28.22	20.57 (+269%)
	9.28 Debit	16.90	7.62 (+82%)	28.28	19.00 (+205%)





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3. STRATEGY TOOLKIT

CHOOSE A TRADING STRATEGY

3.1 Credit Spreads

3.2 Debit Spreads

3.3 Neutral Strategies

- Long Straddle (Breakout)
- **Short Iron Butterfly (Range)**

3.4 ITM Options

3.5 OTM Options

3.6 Trade the Underlying

NEUTRAL STRATEGIES

SHORT IRON BUTTERFLY (RANGE)

OBJECTIVE: The objective of a Short Iron Butterfly is to execute a neutral trade for a capital gain while expecting price to remain mostly range-bound. Ideally you are looking for a scenario where Implied Volatility is currently very high, giving you high option premiums to sell, but price action is likely to become range bound as volatility decreases. This strategy combines Put and Call Credit Spreads.

Direction: Neutral (Range)

Asset Legs: Short ATM Call, Short ATM Put, Long OTM Call, Long OTM Put (same strike and expiration)

When to Use: When premiums are high and you expect the market to become range-bound

Profit Characteristics: Profit is limited to the net credit received; Max profit occurs if the market closes precisely at the sold strike at expiration

Loss Characteristics: Limited to the difference in strikes minus the net credit received

Decay Characteristics: Time decay significantly helps this trade

Max Risk: Capped

Max Reward: Capped

Strategy:

- Use this strategy when premiums are high and you believe price will become range-bound and volatility will drop
- For a neutral bias, sell the ATM puts and calls. Add a directional bias to the position by selling puts/calls above or below current price.
- Do not trade this strategy ahead of earnings or news
- Consider stocks that have experienced major volatility and are due for compression
- Use this strategy with 30 days or less to expiration, but preferably less than 15 days to expiration
- Look to close out the position just before expo, as most of the profit will be realized closer to expo



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3. STRATEGY TOOLKIT

CHOOSE A TRADING STRATEGY

3.1 Credit Spreads

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3.3 Neutral Strategies

- Long Straddle (Breakout)
- **Short Iron Butterfly (Range)**

3.4 ITM Options

3.5 OTM Options

3.6 Trade the Underlying

NEUTRAL STRATEGIES

SHORT IRON BUTTERFLY (RANGE)

EXECUTION: Sell the Iron Butterfly when the price of the underlying is at, or very close, to the strike you wish to straddle, and when implied volatility is high (in order to collect higher premiums).

SHORT IRON BUTTERFLY EXAMPLE:

XYZ is trading at 100 in Jan and you believe volatility will decline and that price will remain around 100 by the next expiration.

Buy the Feb 105 call for .40
Sell the Feb 100 call for 2.00
Sell the Feb 100 put for 2.40
Buy the Feb 95 put for .60

Risk Profile:

- **Net Credit Transaction:** Premium sold - premium bought ($4.40 - 1.00 = 3.40$)
- **Maximum Risk:** (Sold strike - bought strike) - net credit ($(100 - 95) - 3.40 = 1.60$)
- **Maximum Reward:** Net credit received (3.40)
- **Breakeven Up:** Sold strike + net credit ($100 + 3.40 = 103.40$)
- **Breakeven Down:** Sold strike - net credit ($100 - 3.40 = 96.60$)

- This trade needs implied volatility to drop and for price to remain near the sold strike
- Execute this strategy when volatility is high to collect higher premiums
- Look to close out this trade ahead of expiration to avoid potential assignment
- This is a high cost trade; use accordingly

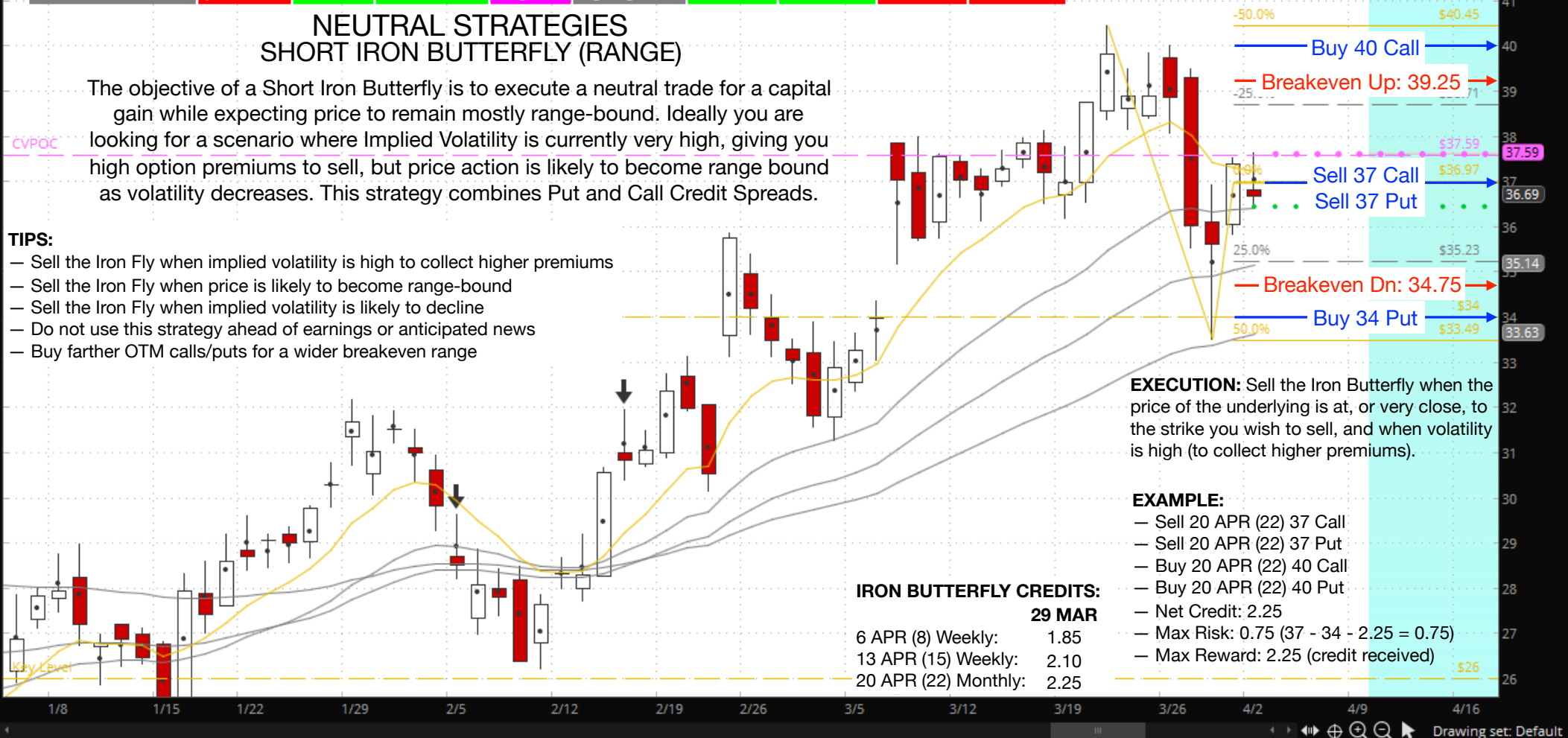
MOMO 36.69 -1.85%
 MOMO 5 Y 1D [NASDAQ] D: 4/2/18 O: 36.8 H: 37.62 L: 36.44 C: 36.69 R: 1.18 MedianPrice: 37.03 VolumeProfile (TICKSIZE, 1.0, CHART, 1, yes, 1000, yes, yes, 70, 25) N/A N/A N/A PivotBoss_WickReversal (3.25, 0.35, 50, 1.1) ...
 PivotBoss_WickReversal qPEMA: 37.22 fPEMA: 36.41 mPEMA: 35.1354 Range: 1.18 AvgRange: 8.563 ADR75: 42.41 ADR100: 44.40 ADR75: 31.65 ADR100: 29.66

NEUTRAL STRATEGIES SHORT IRON BUTTERFLY (RANGE)

The objective of a Short Iron Butterfly is to execute a neutral trade for a capital gain while expecting price to remain mostly range-bound. Ideally you are looking for a scenario where Implied Volatility is currently very high, giving you high option premiums to sell, but price action is likely to become range bound as volatility decreases. This strategy combines Put and Call Credit Spreads.

TIPS:

- Sell the Iron Fly when implied volatility is high to collect higher premiums
- Sell the Iron Fly when price is likely to become range-bound
- Sell the Iron Fly when implied volatility is likely to decline
- Do not use this strategy ahead of earnings or anticipated news
- Buy farther OTM calls/puts for a wider breakeven range

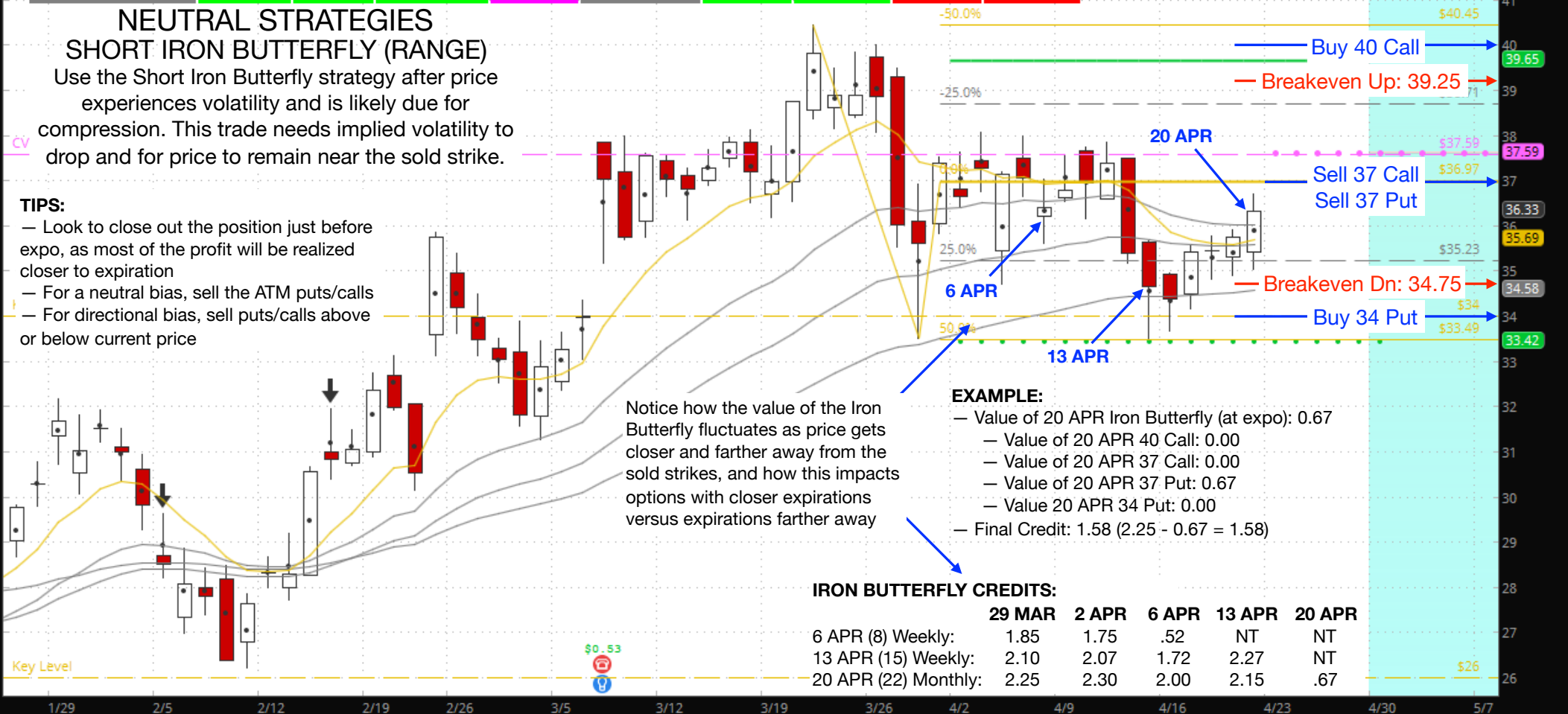


NEUTRAL STRATEGIES SHORT IRON BUTTERFLY (RANGE)

Use the Short Iron Butterfly strategy after price experiences volatility and is likely due for compression. This trade needs implied volatility to drop and for price to remain near the sold strike.

TIPS:

- Look to close out the position just before expo, as most of the profit will be realized closer to expiration
- For a neutral bias, sell the ATM puts/calls
- For directional bias, sell puts/calls above or below current price





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3. STRATEGY TOOLKIT

CHOOSE A TRADING STRATEGY

3.1 Credit Spreads

3.2 Debit Spreads

3.3 Neutral Strategies

3.4 ITM Options

- **ITM Long Calls (Bullish)**
- **ITM Long Puts (Bearish)**

3.5 OTM Options

3.6 Trade the Underlying

ITM OPTIONS

ITM Options are options that are “in-the-money,” which means the stock price is above the strike price for calls, and below the strike price for puts, thus giving these options intrinsic and time value. These options are more expensive, and the farther in-the-money they are, the more expensive the options become.

ITM Options: In-the-money options means the stock price is above the strike price (for calls) or below the strike price (for puts), which gives these options intrinsic and time value, thus making them more valuable and expensive.

3.4 ITM OPTIONS

- ITM Long Calls (BULLISH)
- ITM Long Puts (BEARISH)

Benefits of ITM Options:

- **Have More Value:** ITM Options have more value, so you get what you pay for with these options. These options will retain more value if the position begins to go against you due to intrinsic value.
- **Slightly Less Risky:** ITM Options are less risky compared to their OTM counterparts due to having both intrinsic and time value, which means they will be more forgiving should the position begin to go against your desired direction.



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3. STRATEGY TOOLKIT

CHOOSE A TRADING STRATEGY

3.1 Credit Spreads

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3.4 ITM Options

- ITM Long Calls (Bullish)
- ITM Long Puts (Bearish)

3.5 OTM Options

3.6 Trade the Underlying

ITM OPTIONS

ITM LONG CALLS (BULLISH)

OBJECTIVE: The objective of using ITM Long Calls is to execute a bullish trade when you are highly bullish and want to be aggressive. This approach improves overall return versus buying the underlying outright, while inherently protecting your downside risk.

Direction: Bullish

Asset Legs: Long Calls (Delta 70 or higher)

When to Use: When you are highly bullish

Profit Characteristics: Profit increases as the market rises, with unlimited profit potential

Loss Characteristics: Max risk is the amount paid for the calls

Decay Characteristics: Time decay erodes the value of the options as expiration approaches

Max Risk: Capped

Max Reward: Unlimited

Strategy:

- Use this strategy when you are extremely bullish and believe price will move higher
- The cost of the option will be higher, which carries more risk, but being “in the money” gives the option more intrinsic value
- Give yourself enough time to be right before expiration (30-45 days)
- The trade is profitable at expiration if price closes above the breakeven point, which is the strike plus the price paid for the option
- If the stock falls below the strike of the call, you take a max loss



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3. STRATEGY TOOLKIT

CHOOSE A TRADING STRATEGY

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3.4 ITM Options

- ITM Long Calls (Bullish)

- ITM Long Puts (Bearish)

3.5 OTM Options

3.6 Trade the Underlying

ITM OPTIONS

ITM LONG CALLS (BULLISH)

EXECUTION: Buy the ITM Long Call options (70 Delta or better) when the price of the underlying reaches your entry trigger.

ITM LONG CALL EXAMPLE:

XYZ is trading at 100 in Jan and you believe that price will experience a high probability move to the upside.

Buy the Feb 97.50 call for 3.55

Risk Profile:

- **Net Debit Transaction:** Premium bought (3.55)
- **Maximum Risk:** Debit paid (3.55)
- **Maximum Reward:** Unlimited (∞)
- **Breakeven:** Strike + net debit ($97.50 + 3.55 = 101.05$)
- This trade needs a big enough move to cover the net debit cost
- Execute this strategy when you expect a high probability move higher
- It is not necessary to hold this trade to expiration, especially if your profit target(s) have been reached
- Give yourself enough time in the trade (days to expiration) to be right, ideally 45+ days to expiration

qPEMA: 165.41 fEMA: 167.23 mPEMA: 167.7628 Range: 11.92 AvgRange: 16.3298 ADR75: 168.79 ADR100: 172.87 ADR75: 156.21 ADR100: 152.13

ITM OPTIONS ITM LONG CALLS (BULLISH)

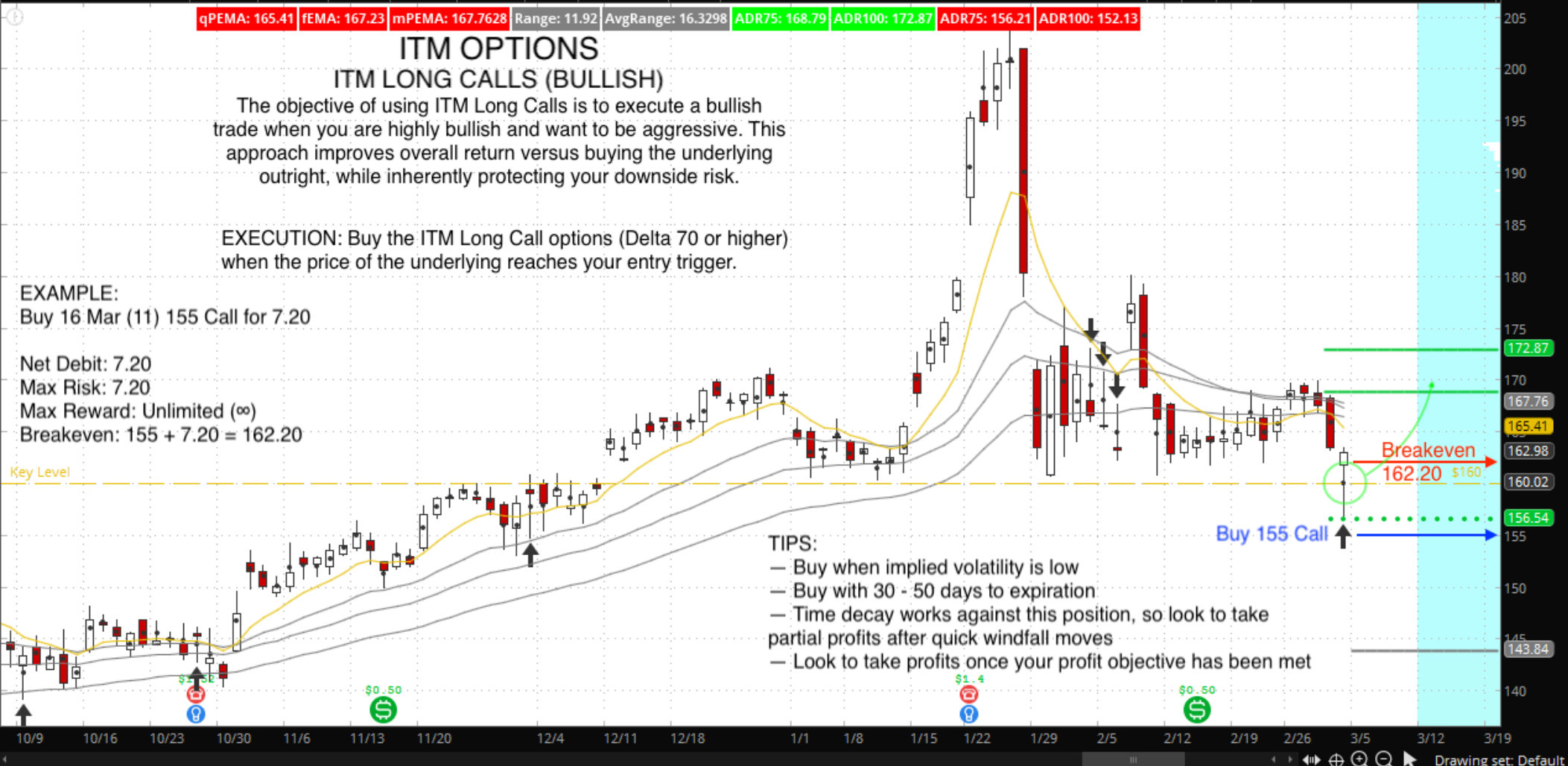
The objective of using ITM Long Calls is to execute a bullish trade when you are highly bullish and want to be aggressive. This approach improves overall return versus buying the underlying outright, while inherently protecting your downside risk.

EXECUTION: Buy the ITM Long Call options (Delta 70 or higher) when the price of the underlying reaches your entry trigger.

EXAMPLE:
Buy 16 Mar (11) 155 Call for 7.20

Net Debit: 7.20
Max Risk: 7.20
Max Reward: Unlimited (∞)
Breakeven: $155 + 7.20 = 162.20$

Key Level



TIPS:

- Buy when implied volatility is low
- Buy with 30 - 50 days to expiration
- Time decay works against this position, so look to take partial profits after quick windfall moves
- Look to take profits once your profit objective has been met

qPEMA: 182.54 fEMA: 176.16 mPEMA: 173.6700 Range: 36.21 AvgRange: 18.7588 ADR75: 170.61 ADR100: 175.30 ADR75: 178.68 ADR100: 173.99

ITM OPTIONS ITM LONG CALLS (BULLISH)

ITM Options are an aggressive play that should only be used when a high probability opportunity presents itself, and when price is looking to make an immediate move.

EXAMPLE:

Value of 16 Mar 155 Call (11 days to expiration): 7.20

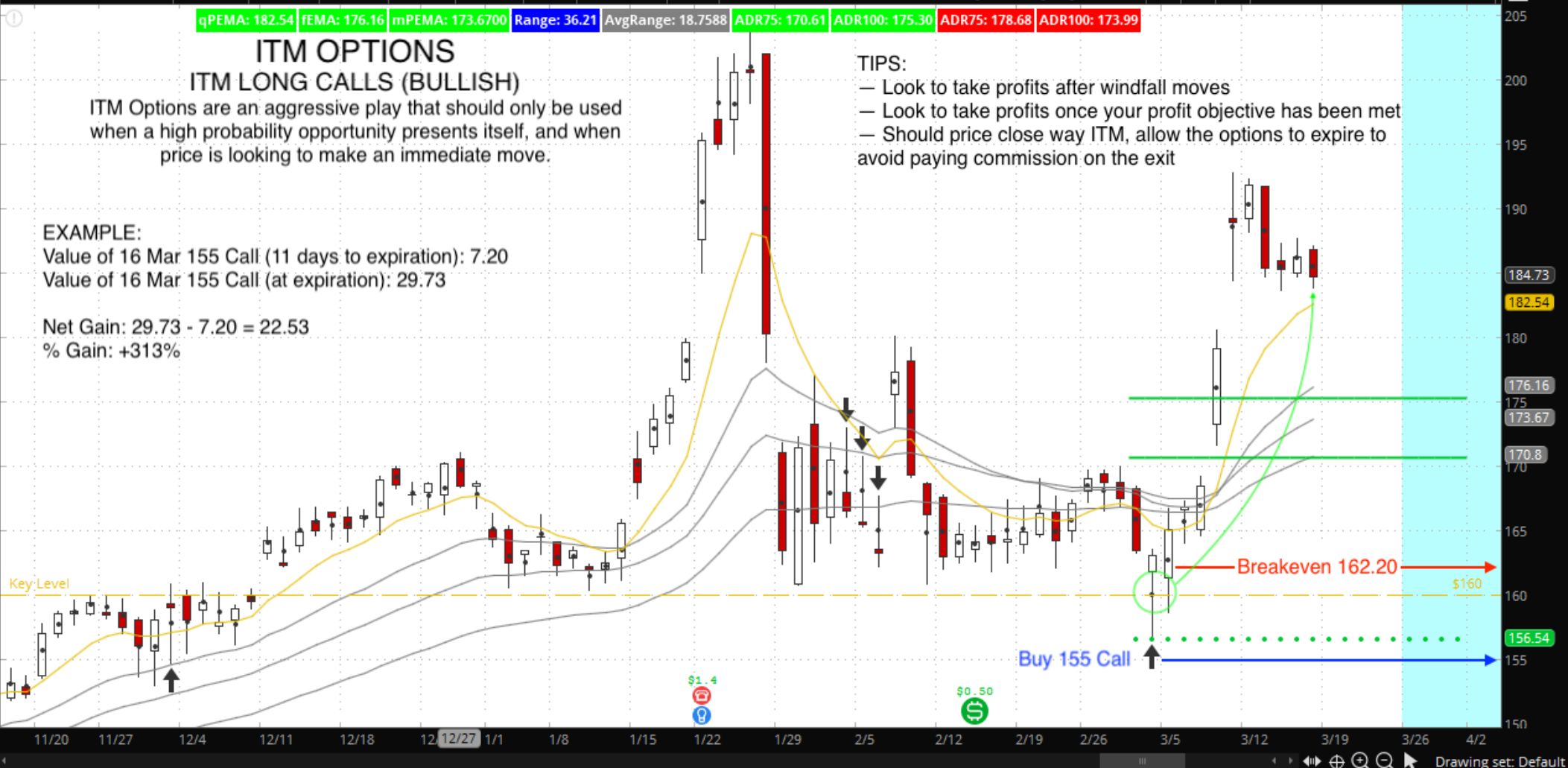
Value of 16 Mar 155 Call (at expiration): 29.73

Net Gain: $29.73 - 7.20 = 22.53$

% Gain: +313%

TIPS:

- Look to take profits after windfall moves
- Look to take profits once your profit objective has been met
- Should price close way ITM, allow the options to expire to avoid paying commission on the exit





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3. STRATEGY TOOLKIT

CHOOSE A TRADING STRATEGY

3.1 Credit Spreads

3.2 Debit Spreads

3.3 Neutral Strategies

3.4 ITM Options

- ITM Long Calls (Bullish)
- ITM Long Puts (Bearish)

3.5 OTM Options

3.6 Trade the Underlying

ITM OPTIONS

ITM LONG PUTS (BEARISH)

OBJECTIVE: The objective of using ITM Long Puts is to execute a bearish trade when you are highly bearish and want to be aggressive. This approach improves overall return versus selling the underlying outright, while inherently protecting your upside risk.

Direction: Bearish

Asset Legs: Long Puts (Delta 70 or higher)

When to Use: When you are highly bearish

Profit Characteristics: Profit increases as the market falls, with unlimited profit potential

Loss Characteristics: Max risk is the amount paid for the puts

Decay Characteristics: Time decay erodes the value of the options as expiration approaches

Max Risk: Capped

Max Reward: Unlimited (to a stock price of zero)

Strategy:

- Use this strategy when you are extremely bearish and believe price will move lower
- The cost of the option will be higher, which carries more risk, but being “in the money” gives the option more intrinsic value
- Give yourself enough time to be right before expiration (30-45 days)
- The trade is profitable at expiration if price closes below the breakeven point, which is the strike minus the price paid for the put
- If the stock rises above the strike of the put, you take a max loss — in this scenario just allow the puts to expire worthless (pay no commission, and you don’t have to deliver stock)



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- ITM Long Calls (Bullish)

- ITM Long Puts (Bearish)

3.5 OTM Options

3.6 Trade the Underlying

ITM OPTIONS

ITM LONG PUTS (BEARISH)

EXECUTION: Buy the ITM Long Put options (70 Delta or better) when the price of the underlying reaches your entry trigger.

ITM LONG PUT EXAMPLE:

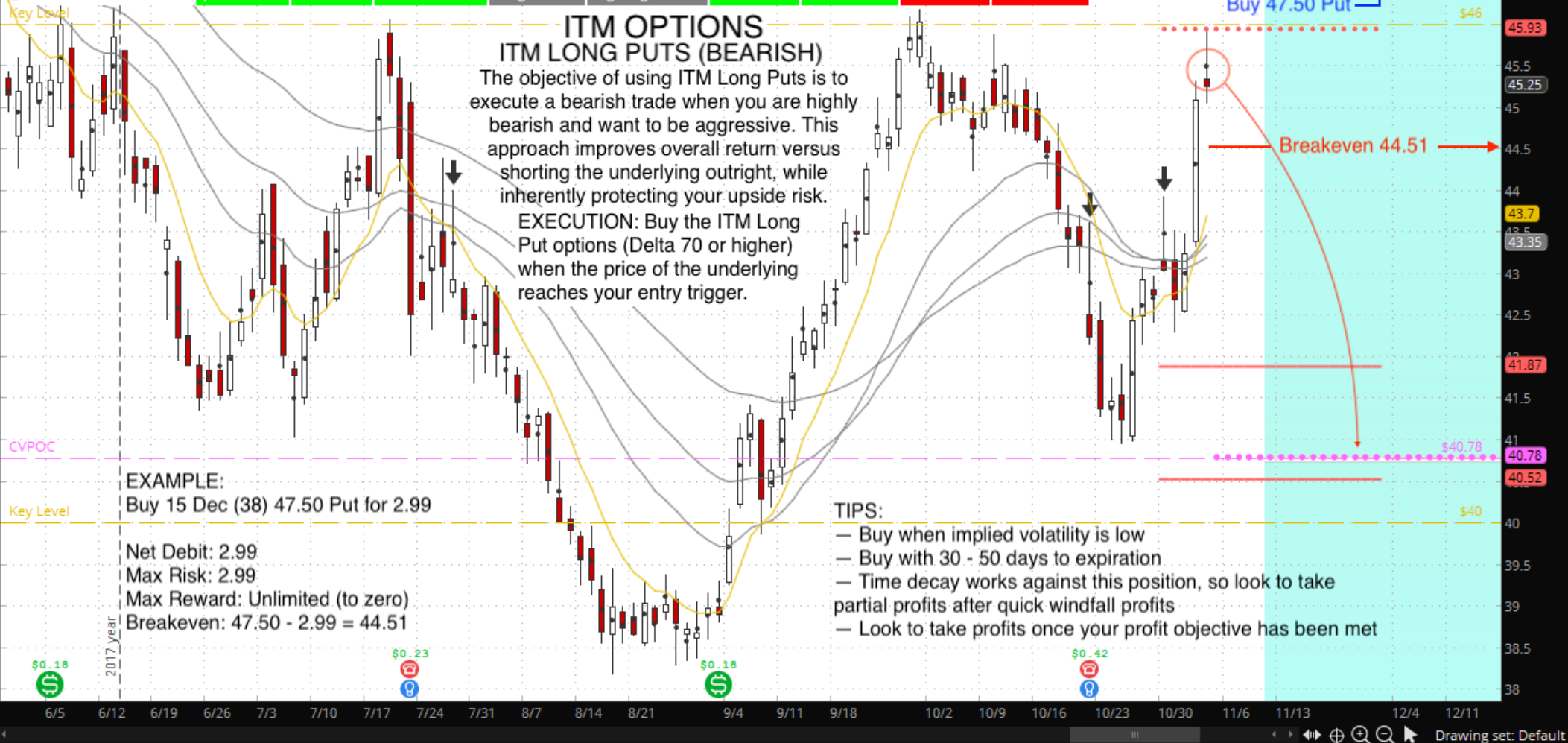
XYZ is trading at 100 in Jan and you believe that price will experience a high probability move to the downside.

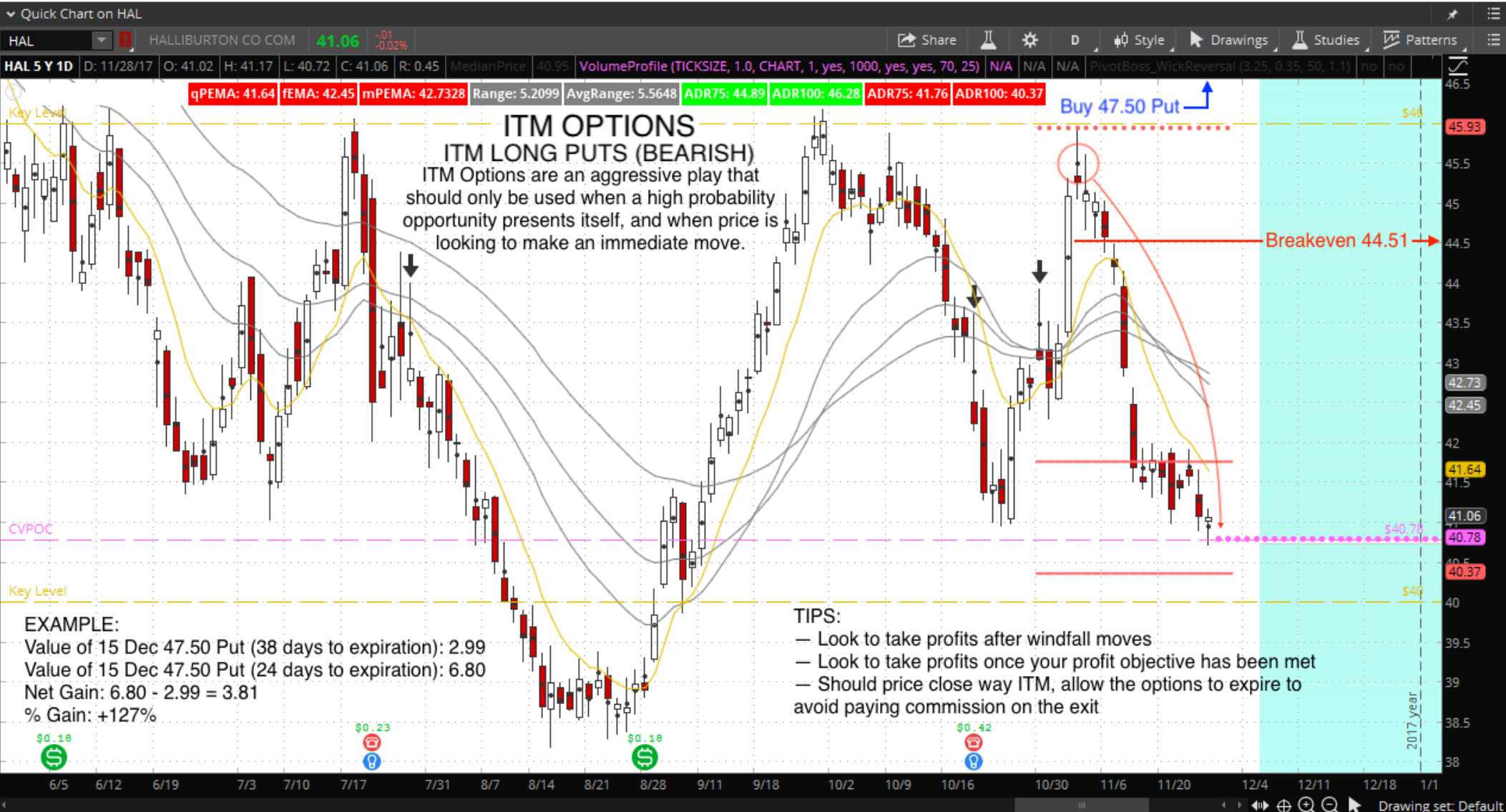
Buy the Feb 102.50 put for 3.55

Risk Profile:

- **Net Debit Transaction:** Premium bought (3.55)
- **Maximum Risk:** Debit paid (3.55)
- **Maximum Reward:** Unlimited (to zero)
- **Breakeven:** Strike - net debit ($102.50 - 3.55 = 98.95$)
- This trade needs a big enough move to cover the net debit cost
- Execute this strategy when you expect a high probability move lower
- It is not necessary to hold this trade to expiration, especially if your profit target(s) have been reached
- Give yourself enough time in the trade (days to expiration) to be right, ideally 45+ days to expiration

qPEMA: 43.70 fPEMA: 43.47 mPEMA: 43.3516 Range: 3.6399 AvgRange: 5.4078 ADR75: 46.35 ADR100: 47.70 ADR75: 41.87 ADR100: 40.52







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3.4 ITM Options

3.5 OTM Options

- **OTM Long Calls (Bullish)**
- **OTM Long Puts (Bearish)**

3.6 Trade the Underlying

OTM OPTIONS

OTM Options are options that are “out-of-the-money,” which means the stock price is below the strike price for calls, and above the strike price for puts, thus giving these options time value, but not intrinsic value. These options are cheap, and the farther out-of-the-money they are, the cheaper the options become. These options are typically called “lottery tickets” because of potentially explosive percentage gains, but are EXTREMELY risky, and should only be traded sparingly.

OTM Options: Out-of-the-money options means the stock price is below the strike price for calls or above the strike price for puts, which leaves these options with time value, but not intrinsic value, thereby making them less valuable and less expensive.

3.5 ITM OPTIONS

- OTM Long Calls (BULLISH)
- OTM Long Puts (BEARISH)

Benefits of OTM Options:

- **They are Cheap:** It is not uncommon to pay pennies for OTM options, and for good cause — the likelihood of price being ITM at expiration is quite low. So while they’re quite cheap, the risk of losing the entire amount paid for the option is high, unless you are very right on direction and timing.
- **Percentage Gain Can Be Big:** Because of the cheap nature of OTM options, major percentage gains can be seen if price explodes in your desired direction. However, time decay hits OTM options harder than their ITM counterparts, so exercise caution.



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3.4 ITM Options

3.5 OTM Options

- OTM Long Calls (Bullish)

- OTM Long Puts (Bearish)

3.6 Trade the Underlying

OTM OPTIONS

OTM LONG CALLS (BULLISH)

OBJECTIVE: The objective of using OTM Long Calls is to execute a bullish trade when you are either extremely bullish or want a “lottery ticket” approach to a trade. This approach reduces the cost of the trade, and also increases the potential return. However, this play is very risky because OTM options do not have intrinsic value and have greater odds of expiring worthless, thus resulting in complete loss of the trade.

Direction: Bullish

Asset Legs: Long Calls

When to Use: When you are extremely bullish, or want a “lottery ticket”

Profit Characteristics: Profit increases as the market rises, with unlimited profit potential

Loss Characteristics: Max risk is the amount paid for the calls

Decay Characteristics: Time decay erodes the value of OTM options at a much higher rate than ITM options

Max Risk: Capped

Max Reward: Unlimited

Strategy:

- Use this strategy when you are extremely bullish
- Go slightly OTM to reduce your cost basis
- Go deep OTM when you want a “lottery ticket” approach to a trade
- The cost of the option will be cheap, which carries less capital risk, but the deeper OTM the more risk is incurred
- Give yourself enough time to be right before expiration (45+ days)
- Max risk is the amount paid for the option
- You want a quick move in your desired direction



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- OTM Long Calls (Bullish)

- OTM Long Puts (Bearish)

3.6 Trade the Underlying

OTM OPTIONS

OTM LONG CALLS (BULLISH)

EXECUTION: Buy the OTM Long Call options (30 Delta or lower) when the price of the underlying reaches your entry trigger.

OTM LONG CALL EXAMPLE:

XYZ is trading at 100 in Jan and you believe that price has the potential to see a major upside move to 115 or beyond.

Buy the Mar 110 call for 0.35

Risk Profile:

- **Net Debit Transaction:** Premium bought (0.35)
- **Maximum Risk:** Debit paid (0.35)
- **Maximum Reward:** Unlimited (∞)
- **Breakeven:** Strike + net debit ($110 + 0.35 = 110.35$)

- Execute this strategy when you anticipate a potentially explosive move to the upside, but would rather risk the small debit paid (lottery ticket)
- You typically want to see price move in your desired direction quickly, otherwise, time decay will begin to erode this position
- It is not necessary to hold this trade to expiration, especially if your profit target(s) have been reached
- Give yourself enough time in the trade (days to expiration) to be right, ideally 45+ days to expiration

qPEMA: 165.41 fEMA: 167.23 mPEMA: 167.7628 Range: 11.92 AvgRange: 16.3298 ADR75: 168.79 ADR100: 172.87 ADR75: 156.21 ADR100: 152.13

OTM OPTIONS

OTM LONG CALLS (BULLISH)

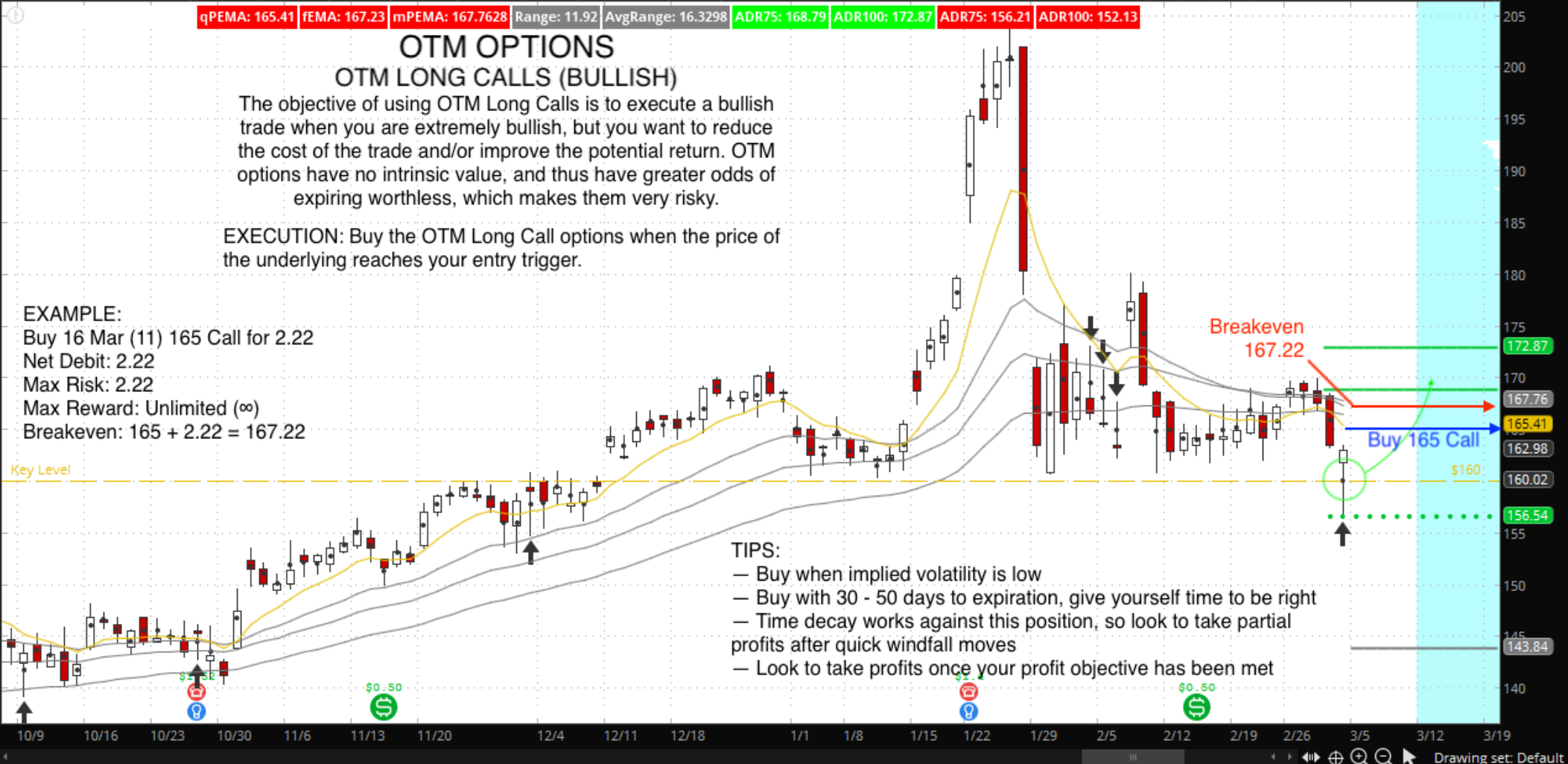
The objective of using OTM Long Calls is to execute a bullish trade when you are extremely bullish, but you want to reduce the cost of the trade and/or improve the potential return. OTM options have no intrinsic value, and thus have greater odds of expiring worthless, which makes them very risky.

EXECUTION: Buy the OTM Long Call options when the price of the underlying reaches your entry trigger.

EXAMPLE:

Buy 16 Mar (11) 165 Call for 2.22
 Net Debit: 2.22
 Max Risk: 2.22
 Max Reward: Unlimited (∞)
 Breakeven: $165 + 2.22 = 167.22$

Key Level



TIPS:

- Buy when implied volatility is low
- Buy with 30 - 50 days to expiration, give yourself time to be right
- Time decay works against this position, so look to take partial profits after quick windfall moves
- Look to take profits once your profit objective has been met

qPEMA: 182.54 fEMA: 176.16 mPEMA: 173.6700 Range: 36.21 AvgRange: 18.7588 ADR75: 170.61 ADR100: 175.30 ADR75: 178.68 ADR100: 173.99

OTM OPTIONS OTM LONG CALLS (BULLISH)

OTM Options are an aggressive play that should only be used when a high probability opportunity presents itself, and when price is looking to make an immediate move.

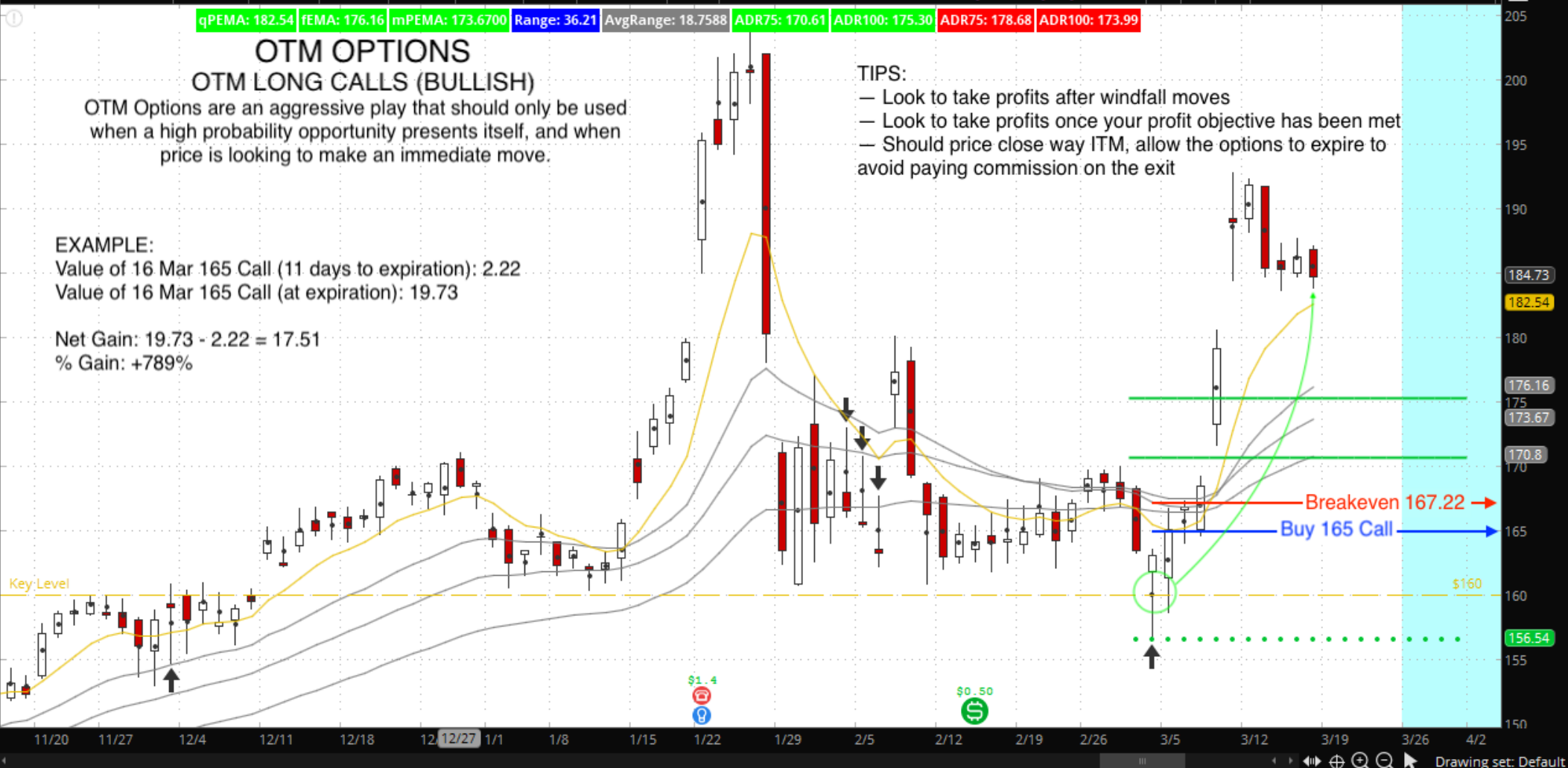
EXAMPLE:

Value of 16 Mar 165 Call (11 days to expiration): 2.22
 Value of 16 Mar 165 Call (at expiration): 19.73

Net Gain: $19.73 - 2.22 = 17.51$
 % Gain: +789%

TIPS:

- Look to take profits after windfall moves
- Look to take profits once your profit objective has been met
- Should price close way ITM, allow the options to expire to avoid paying commission on the exit





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3.2 Debit Spreads

3.3 Neutral Strategies

3.4 ITM Options

3.5 OTM Options

- OTM Long Calls (Bullish)

- OTM Long Puts (Bearish)

3.6 Trade the Underlying

OTM OPTIONS

OTM LONG PUTS (BEARISH)

OBJECTIVE: The objective of using OTM Long Puts is to execute a bearish trade when you are either extremely bearish or want a “lottery ticket” approach to a trade. This approach reduces the cost of the trade, and also increases the potential return. However, this play is very risky because OTM options do not have intrinsic value and have greater odds of expiring worthless, thus resulting in complete loss of the trade.

Direction: Bearish

Asset Legs: Long Puts

When to Use: When you are extremely bearish, or want a “lottery ticket”

Profit Characteristics: Profit increases as the market falls, with unlimited profit potential

Loss Characteristics: Max risk is the amount paid for the puts

Decay Characteristics: Time decay erodes the value of OTM options at a much higher rate than ITM options

Max Risk: Capped

Max Reward: Unlimited (to a stock price of zero)

Strategy:

- Use this strategy when you are extremely bearish
- Go slightly OTM to reduce your cost basis
- Go deep OTM when you want a “lottery ticket” approach to a trade
- The cost of the option will be cheap, which carries less capital risk, but the deeper OTM the more risk is incurred
- Give yourself enough time to be right before expiration (45+ days)
- Max risk is the amount paid for the option
- You want a quick move in your desired direction



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3.5 OTM Options

- OTM Long Calls (Bullish)

- OTM Long Puts (Bearish)

3.6 Trade the Underlying

OTM OPTIONS

OTM LONG PUTS (BEARISH)

EXECUTION: Buy the OTM Long Put options (30 Delta or lower) when the price of the underlying reaches your entry trigger.

OTM LONG PUT EXAMPLE:

XYZ is trading at 100 in Jan and you believe that price has the potential to see a major downside move to 85 or beyond.

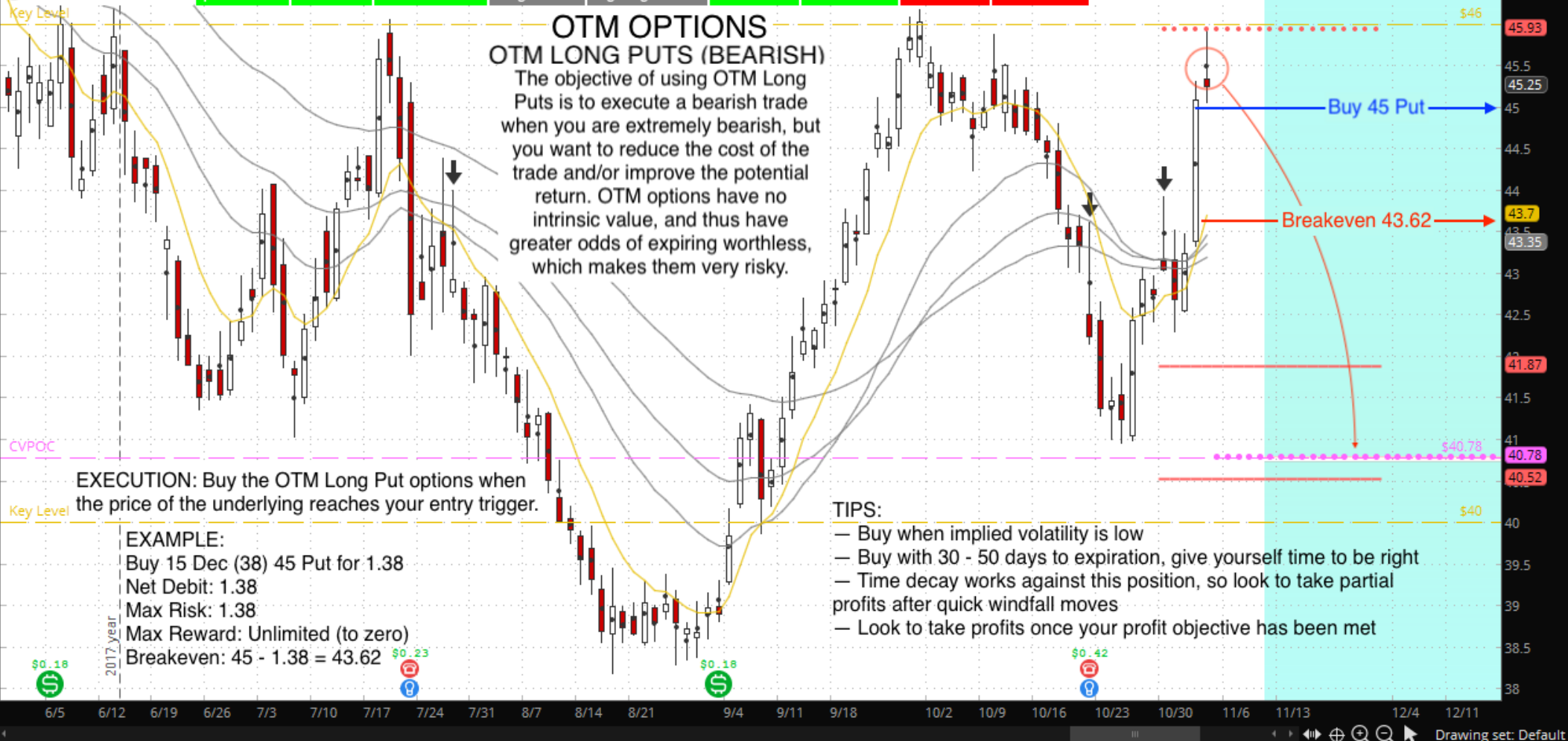
Buy the Mar 90 put for 0.35

Risk Profile:

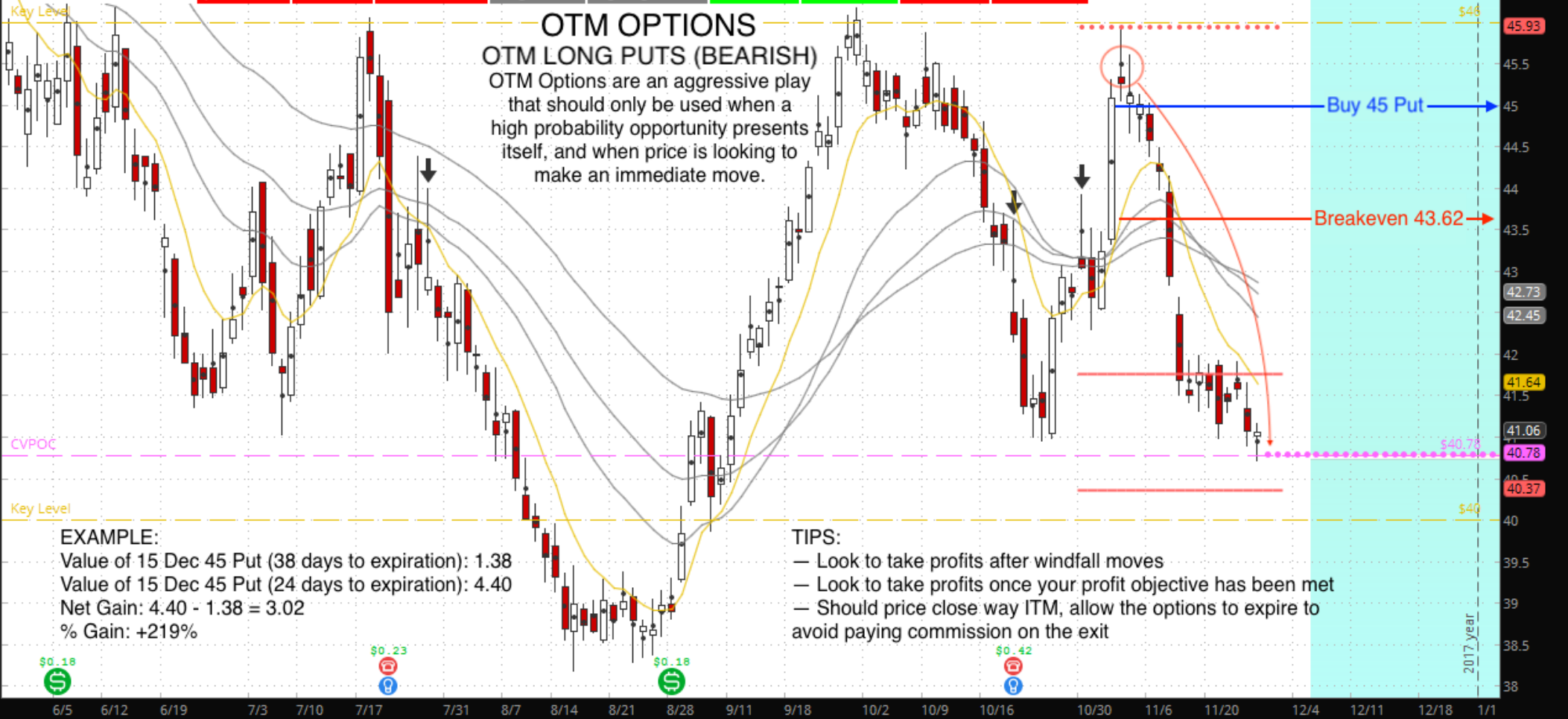
- **Net Debit Transaction:** Premium bought (0.35)
- **Maximum Risk:** Debit paid (0.35)
- **Maximum Reward:** Unlimited (∞)
- **Breakeven:** Strike - net debit ($90 - 0.35 = 89.65$)

- Execute this strategy when you anticipate a potentially explosive move to the downside, but would rather risk the small debit paid (lottery ticket) than pay a larger premium
- You typically want to see price move in your desired direction quickly, otherwise, time decay will begin to erode this position
- It is not necessary to hold this trade to expiration, especially if your profit target(s) have been reached
- Give yourself enough time in the trade (days to expiration) to be right, ideally 45+ days to expiration

qPEMA: 43.70 fPEMA: 43.47 mPEMA: 43.3516 Range: 3.6399 AvgRange: 5.4078 ADR75: 46.35 ADR100: 47.70 ADR75: 41.87 ADR100: 40.52



qPEMA: 41.64 fPEMA: 42.45 mPEMA: 42.7328 Range: 5.2099 AvgRange: 5.5648 ADR75: 44.89 ADR100: 46.28 ADR75: 41.76 ADR100: 40.37





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SWING TRADE PRO 2.0

3. STRATEGY TOOLKIT

CHOOSE A TRADING STRATEGY

3.1 Credit Spreads

3.2 Debit Spreads

3.3 Neutral Strategies

3.4 ITM Options

3.5 OTM Options

3.6 Trade the Underlying

- **Covered Call (Income)**
- **Protective Put (Hedge)**
- **Collar (HEDGE)**

TRADE THE UNDERLYING

STOCKS, ETFS, FUTURES, FOREX, CRYPTO

While “trading the underlying” isn’t necessarily an options strategy, sometimes it is the appropriate strategy for the specific opportunity presenting itself. In this section, you’ll learn the benefits of trading the underlying (buying and selling shares/contracts in stocks, futures, etc.) versus trading an options strategy. Additionally, you’ll learn how to generate income from a position, and how to hedge a position, using options.

3.6 TRADE THE UNDERLYING

- Covered Call (INCOME)
- Protective Put (HEDGE)
- Collar (HEDGE)

Benefits of Trading the Underlying:

- **Easy to Understand:** Trading stocks and futures is much easier to understand than trading options, which makes for an easy transition for beginners, as Options can be complex to understand at first.
- **Liquidity:** Volume and liquidity tends to be much better in the equities and futures markets versus options, which is extremely helpful in getting filled on entries/exits.
- **No Time Decay/Constraint:** There is no time constraint on the position, which allows you to hold for longer time periods of time as markets trend for months or years.



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3. STRATEGY TOOLKIT

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- **Covered Call (Income)**
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TRADE THE UNDERLYING

COVERED CALL (INCOME)

OBJECTIVE: The objective of using a Covered Call strategy is to generate income from a long position in the underlying that you intend to keep for the long term, but are willing to sell if the underlying reaches a specific price (the call strike price).

Direction: Bullish

Asset Legs: Long Underlying, Short OTM Calls

When to Use: When you are long shares/contracts of the underlying and want to generate income by selling premium

Profit Characteristics: Retain the credit if the call options expire worthless — **This is the ideal scenario for this trade if wanting to generate income**

Decay Characteristics: Time decay erodes the value of OTM options at a much higher rate than ITM options, which is very helpful for this trade

Max Risk: Credit received minus any downside risk from owning shares/contracts

Max Reward: Capped to credit received plus any potential gains from share assignment

Strategy:

- Use this strategy when you are long shares/contracts and want extra income
- Use this strategy after you've enjoyed a profitable move and are okay with selling your shares/contracts should the sold strike price be reached and assigned
- Buy shares/contracts and sell calls at the same time to lower cost ("Buy/Write")
- Sell far OTM Calls to generate income and lessen the odds of assignment
- Use this strategy with weekly and monthly options for generating income frequently

TRADE THE UNDERLYING COVERED CALL (INCOME)

The objective of using a Covered Call strategy is to generate income from a long position in the underlying that you intend to keep for the long term, but are willing to sell if the underlying reaches a specific price (the call strike price).

TIPS:

- Sell calls when implied volatility is high to collect more premium, like before earnings
- Sell farther OTM calls if you don't really intend to sell your shares
- Sell closer OTM calls if you've profited quite a bit in the underlying and are ready to exit the position

EXAMPLE:

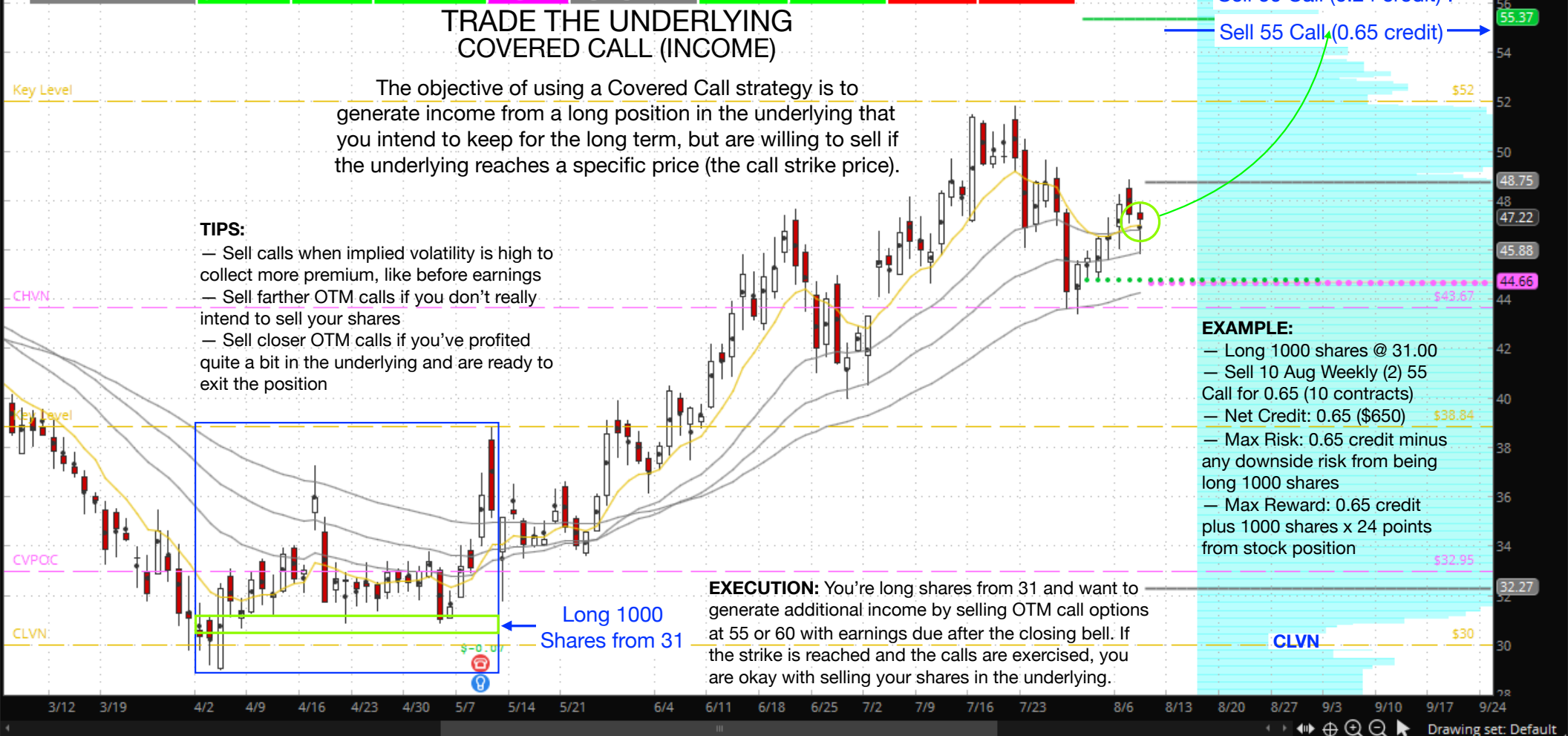
- Long 1000 shares @ 31.00
- Sell 10 Aug Weekly (2) 55 Call for 0.65 (10 contracts)
- Net Credit: 0.65 (\$650) \$38.84
- Max Risk: 0.65 credit minus any downside risk from being long 1000 shares
- Max Reward: 0.65 credit plus 1000 shares x 24 points from stock position \$32.95

EXECUTION: You're long shares from 31 and want to generate additional income by selling OTM call options at 55 or 60 with earnings due after the closing bell. If the strike is reached and the calls are exercised, you are okay with selling your shares in the underlying.

Long 1000
Shares from 31

Sell 60 Call (0.24 credit) ↑

Sell 55 Call (0.65 credit) →



Quick Chart on ROKU

ROKU 5 Y 1D [NASDAQ] D: 8/10/18 O: 57.05 H: 60.65 L: 56.1 C: 58.1 R: 4.55 MedianPrice: 58.38 VolumeProfile (TICKSIZE, 1.0, CHART, 1, yes, 1000, yes, yes, 70, 25) N/A N/A N/A PivotBoss_WickReversal (3.25, 0.35, 50, 1.1)

PivotBoss_WickReversal qPEMA: 51.02 fEMA: 48.60 mPEMA: 47.1292 Range: 15.89 AvgRange: 15.3237 ADR75: 56.25 ADR100: 60.08 ADR75: 49.16 ADR100: 45.33

TRADE THE UNDERLYING COVERED CALL (INCOME)

The Covered Call strategy offers a great way to book consistent income (weekly/monthly) from a long term position in the underlying. This strategy offers a low risk approach to squeezing out extra profit from a position you already intend to hold, but are happy to book profits on.

TIPS:

- Use this strategy weekly or monthly to squeeze more income out of each expiration cycle while you're holding a long term position
- Use this strategy at the entry of a new long term position in the underlying in order to reduce cost upfront by collecting the credit of the sold call ("Buy/Write")

ALTERNATE OPTION: Had the 60 call been selected, it would've expired worthless. The 0.24 credit would be retained, and there would be no need to sell the 1000 share position in the underlying

OPTION EXERCISED: ROKU beats on earnings, triggering a rally the next two days, with price closing at 58.10. The sold 55 call is exercised, and we must sell our 1000 share position in the underlying for 55, giving the trade a 24 point gain.

EXAMPLE:

- Value of 10 Aug 55 Call (at expiration): 3.10
- Net Gain: $(0.65 \text{ credit} \times 10 \text{ contracts}) + (1000 \text{ shares} \times 24 \text{ points gained}) = \$24,650$

Long 1000 Shares from 31





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SWING TRADE PRO 2.0

3. STRATEGY TOOLKIT

CHOOSE A TRADING STRATEGY

3.1 Credit Spreads

3.2 Debit Spreads

3.3 Neutral Strategies

3.4 ITM Options

3.5 OTM Options

3.6 Trade the Underlying

- Covered Call (Income)
- **Protective Put (Hedge)**
- Collar (HEDGE)

TRADE THE UNDERLYING

PROTECTIVE PUT (HEDGE)

OBJECTIVE: The objective of using a Protective Put strategy is to protect a long position in the underlying against a downturn. Execute this strategy when you intend to hold a position in the underlying for the foreseeable future, but want to protect profits in the event of selling pressure ahead of news or earnings.

Direction: Bullish

Asset Legs: Long Underlying, Long OTM Puts

When to Use: When you are bullish, but want downside protection

Profit Characteristics: Profit increases as the market rises, with unlimited profit potential

Loss Characteristics: Max risk is the amount paid for the puts

Decay Characteristics: Time decay will negatively affect the value of the option

Max Risk: Capped

Max Reward: Unlimited

Strategy:

- Use this strategy when you are bullish and want to protect gains from a downturn
- Buy OTM puts to reduce your cost basis
- Buy ATM or ITM puts if you are confident and want to profit from the downturn
- Ideally, price will rally enough to cover the cost of the protective put, or price will sell off enough to capitalize on the move using the bought puts
- This strategy is a better, although more expensive, alternative to using stop orders

Quick Chart on APRN

APRN 3.1300 +0.19 +6.35%

APRN 5 Y 1D [OTC OTHER] D: 7/25/18 O: 2.94 H: 3.17 L: 2.94 C: 3.13 R: 0.23 MedianPrice: 3.06 VolumeProfile (TICKSIZE, 1.0, CHART, 1, yes, 1000, yes, yes, 70, 25) N/A N/A N/A PivotBoss_WickReversal (3.25, 0.35, 50, 1.1)

PivotBoss_WickReversal qPEMA: 3.27 fEMA: 3.35 mPEMA: 3.2824 Range: 1.33 AvgRange: 1.1498 ADR75: 3.68 ADR100: 3.97 ADR75: 3.29 ADR100: 3.00

CLVN

TRADE THE UNDERLYING PROTECTIVE PUT (HEDGE)

The objective of using a Protective Put strategy is to protect a long position in the underlying against a downturn. Execute this strategy when you intend to hold a position in the underlying for the foreseeable future, but want to protect profits in the event of selling pressure ahead of news or earnings.

CVPOC Key Level

Long 1000 Shares from 3 Buy 3 Put

TIPS:

- Buy a Protective Put ahead of earnings, but look to buy the option 5 to 10 days ahead of earnings, as options will become more expensive as implied volatility increases the closer earnings gets
- Buy ATM or slightly OTM puts to reduce cost basis
- Buy ITM if you are confident price will move lower and you want to profit from the move

EXECUTION: You're long shares in the underlying from \$3/share and want to protect the position by buying the ATM 3 put ahead of earnings in 9 days.

EXAMPLE:

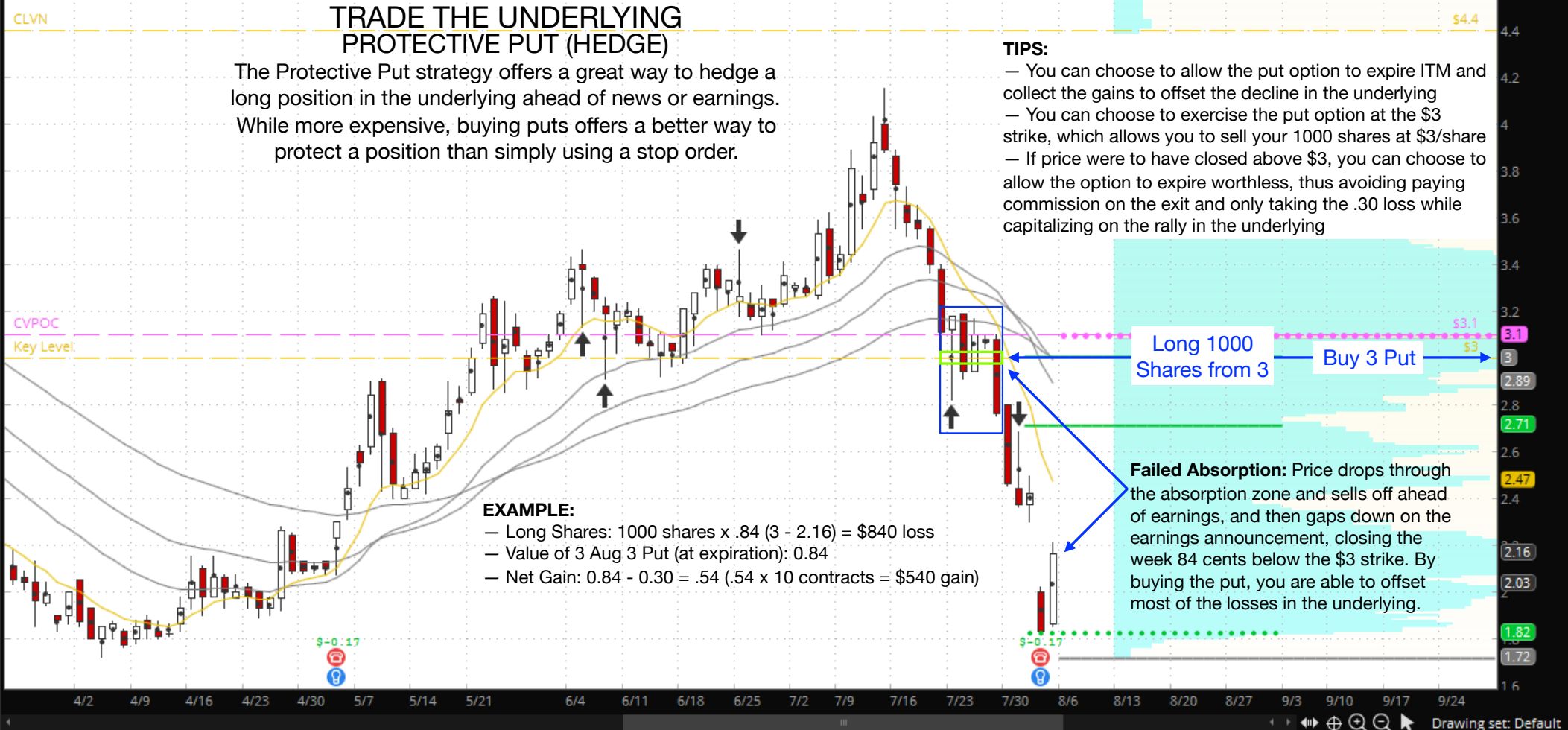
- Long 1000 shares @ 3.00
- Buy 3 Aug Weekly (9) 3 Put for 0.30 (10 contracts)
- Net Debit: 0.30 (\$300)
- Max Risk: 0.30 (\$300)
- Max Reward: Unlimited (∞)

4/2 4/9 4/16 4/23 4/30 5/7 5/14 5/21 6/4 6/11 6/18 6/25 7/2 7/9 7/16 7/23 7/30 8/6 8/13 8/20 8/27 9/3 9/10 9/17

Drawing set: Default

APRN 5 Y 1D [NASDAQ] D: 8/3/18 O: 1.86 H: 2.21 L: 1.85 C: 2.16 R: 0.36 MedianPrice: 2.03 VolumeProfile (TICKSIZE: 1.0, CHART: 1, yes, 1000, yes, yes, 70, 25) N/A N/A N/A PivotBoss_WickReversal (3.25, 0.35, 50, 1.1) no ...

PivotBoss_WickReversal qPEMA: 2.47 fEMA: 2.89 mPEMA: 2.9964 Range: 0.675 AvgRange: 1.1838 ADR75: 2.71 ADR100: 3.00 ADR75: 1.61 ADR100: 1.31





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SWING TRADE PRO 2.0

3. STRATEGY TOOLKIT

CHOOSE A TRADING STRATEGY

3.1 Credit Spreads

3.2 Debit Spreads

3.3 Neutral Strategies

3.4 ITM Options

3.5 OTM Options

3.6 Trade the Underlying

- Covered Call (Income)
- Protective Put (Hedge)
- Collar (HEDGE)

TRADE THE UNDERLYING COLLAR (HEDGE)

OBJECTIVE: The objective of using a Collar strategy is to protect a position in the underlying by buying puts ahead of news or earnings, while selling calls to help offset the cost of the bought puts. You must be okay with selling your shares in the underlying if the calls are exercised.

Direction: Bullish

Asset Legs: Long Underlying, Long OTM Puts, Short OTM Calls

When to Use: When you are long shares/contracts of the underlying and want to protect current profits, but are willing to part with the stock if the calls are assigned

Decay Characteristics: Time decay is mostly offset with this position

Max Risk: Limited to the current stock price minus the strike of the put plus the net debit paid, or minus the net credit received

Max Reward: Capped to credit received plus any potential gains from share assignment

Strategy:

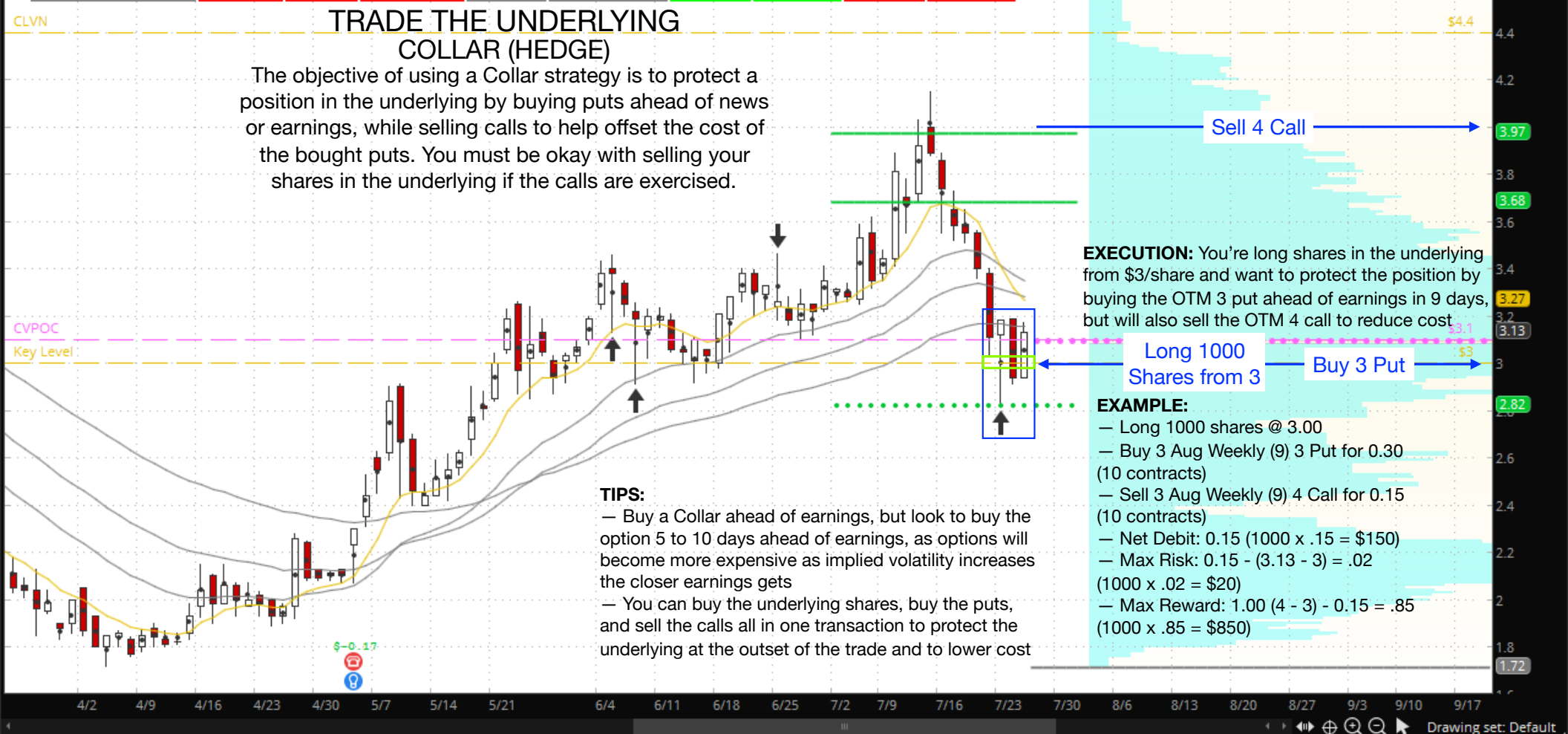
- Use this strategy when you want to protect profits in the underlying ahead of earnings
- Use this strategy to lower the cost of protecting profits
- Use this strategy after you've enjoyed a profitable move and are okay with selling should the sold strike price be reached and assigned
- Buy shares/contracts and sell calls at the same time to lower cost ("Buy/Write")

Quick Chart on APRN

APRN 3.1300 +0.19 +6.35%
 APRN 5 Y 1D [OTC OTHER] D: 7/25/18 O: 2.94 H: 3.17 L: 2.94 C: 3.13 R: 0.23 MedianPrice: 3.06 VolumeProfile (TICKSIZE, 1.0, CHART, 1, yes, 1000, yes, yes, 70, 25) N/A N/A N/A PivotBoss_WickReversal (3.25, 0.35, 50, 1.1)
 PivotBoss_WickReversal qPEMA: 3.27 fEMA: 3.35 mPEMA: 3.2824 Range: 1.33 AvgRange: 1.1498 ADR75: 3.68 ADR100: 3.97 ADR75: 3.29 ADR100: 3.00

TRADE THE UNDERLYING COLLAR (HEDGE)

The objective of using a Collar strategy is to protect a position in the underlying by buying puts ahead of news or earnings, while selling calls to help offset the cost of the bought puts. You must be okay with selling your shares in the underlying if the calls are exercised.



TIPS:

- Buy a Collar ahead of earnings, but look to buy the option 5 to 10 days ahead of earnings, as options will become more expensive as implied volatility increases the closer earnings gets
- You can buy the underlying shares, buy the puts, and sell the calls all in one transaction to protect the underlying at the outset of the trade and to lower cost

EXECUTION: You're long shares in the underlying from \$3/share and want to protect the position by buying the OTM 3 put ahead of earnings in 9 days, but will also sell the OTM 4 call to reduce cost

EXAMPLE:

- Long 1000 shares @ 3.00
- Buy 3 Aug Weekly (9) 3 Put for 0.30 (10 contracts)
- Sell 3 Aug Weekly (9) 4 Call for 0.15 (10 contracts)
- Net Debit: 0.15 (1000 x .15 = \$150)
- Max Risk: 0.15 - (3.13 - 3) = .02 (1000 x .02 = \$20)
- Max Reward: 1.00 (4 - 3) - 0.15 = .85 (1000 x .85 = \$850)

APRN 5 Y 1D [NASDAQ] D: 8/3/18 O: 1.86 H: 2.21 L: 1.85 C: 2.16 R: 0.36 MedianPrice: 2.03 VolumeProfile (TICKSIZE, 1.0, CHART, 1, yes, 1000, yes, yes, 70, 25) N/A N/A N/A PivotBoss_WickReversal (3.25, 0.35, 50, 1.1) no

PivotBoss_WickReversal qPEMA: 2.47 fEMA: 2.89 mPEMA: 2.9964 Range: 0.675 AvgRange: 1.1838 ADR75: 2.71 ADR100: 3.00 ADR75: 1.61 ADR100: 1.31

TRADE THE UNDERLYING COLLAR (HEDGE)

The Collar strategy offers a great way to protect a long position in the underlying ahead of news or earnings, while looking to lower costs by selling the OTM call. Add the sold call to a Protective Put to create the Collar when you are okay with selling your position in the underlying should the sold calls be exercised.

EXAMPLE:

- Long Shares: 1000 shares x .84 (3 - 2.16) = \$840 loss
- Value of 3 Aug 3 Put (at expiration): 0.84
- Value of 3 Aug 4 Put (at expiration): 0.00
- Net Gain: 0.84 - 0.15 = .69 (.69 x 10 contracts = \$690 gain)

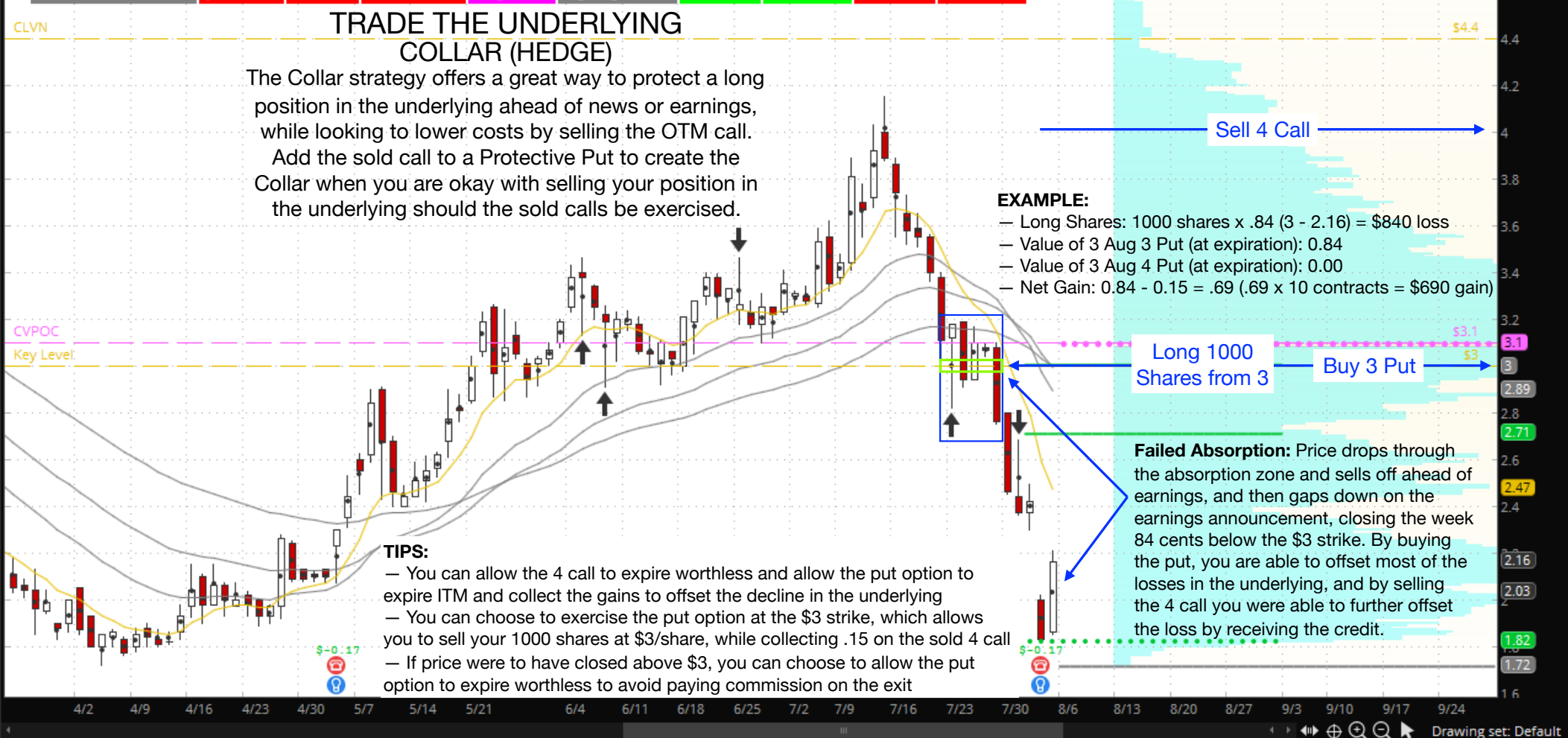
Long 1000
Shares from 3

Buy 3 Put

Failed Absorption: Price drops through the absorption zone and sells off ahead of earnings, and then gaps down on the earnings announcement, closing the week 84 cents below the \$3 strike. By buying the put, you are able to offset most of the losses in the underlying, and by selling the 4 call you were able to further offset the loss by receiving the credit.

TIPS:

- You can allow the 4 call to expire worthless and allow the put option to expire ITM and collect the gains to offset the decline in the underlying
- You can choose to exercise the put option at the \$3 strike, which allows you to sell your 1000 shares at \$3/share, while collecting .15 on the sold 4 call
- If price were to have closed above \$3, you can choose to allow the put option to expire worthless to avoid paying commission on the exit





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PRESENTS

SWING TRADE PRO 2.0

THE 5-STEP SWING TRADING BLUEPRINT

STEP 3: STRATEGY TOOLKIT